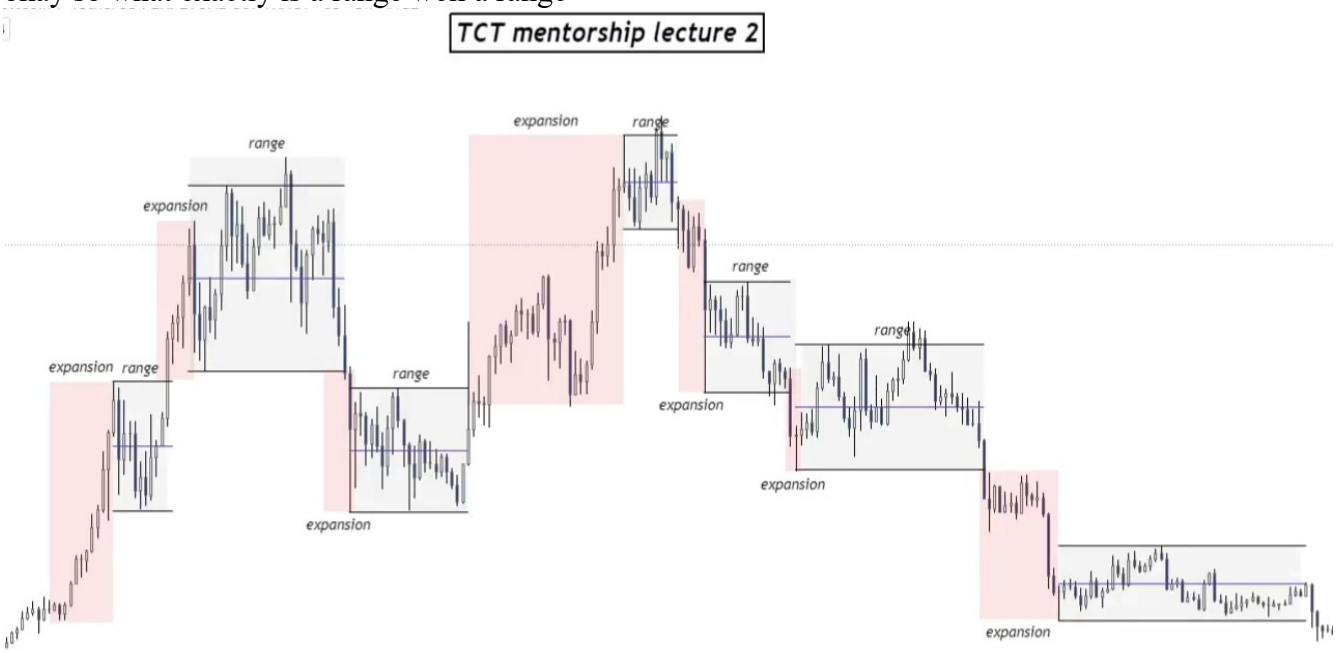
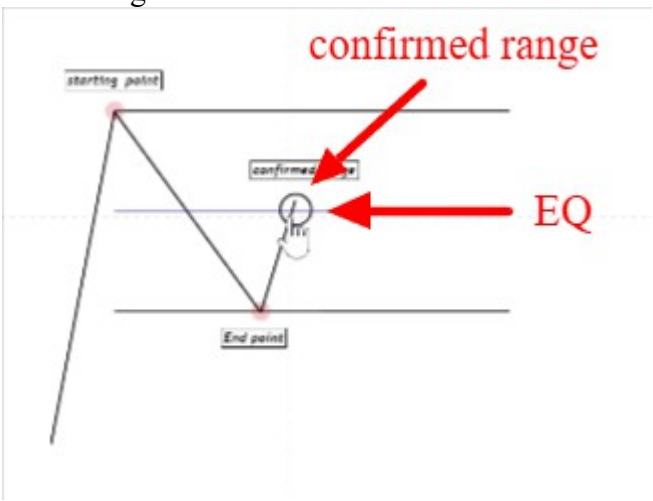
(1689) TCT 2024 mentorship - Lecture 2 | Ranges - YouTube
https://www.youtube.com/watch?v=R1QYllgJZ5g

Transcript:
(00:02) what is up guys and welcome to lecture two of the TCT mentorship where I'm going to be teaching you everything that you need to know to understand ranges and it's absolutely crucial that you guys understand ranges because the TCT schematics are built around range deviations and ranges okay so understanding how to draw your ranges properly and how to look at deviations is absolutely crucial and will make the TCT trading and the TCT Concepts later on in the mentorship way easier to trade okay so what exactly is a range well a range

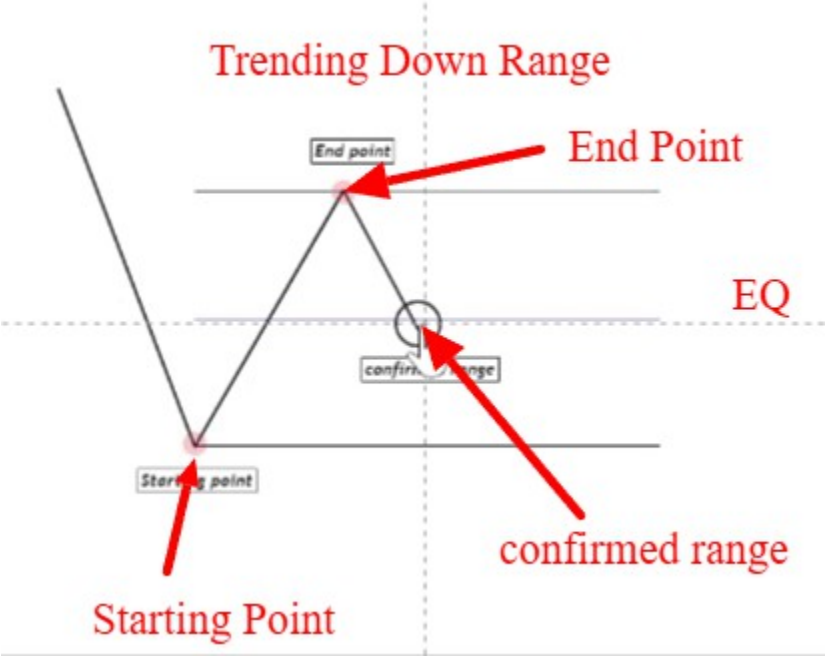


(00:47) is when price is simply moving sideways okay you guys already know about markets trending up and down and the shifts in Trend after lecture one but markets can also move horizontally and this is when we identify our ranges and people also like to call it consolidation phases okay so why do we even range I want you guys to look at the markets as if it's a normal human being for a moment okay and when prices are pumping compare it to human sprinting eventually it will get tired quote unquote tired and needs to refuel
(01:30) fuel gather more energy before going at it again same with the markets after an aggressive expansion towards the upside or downside price likes to form a range before having either continuation or reversal as you can see after every aggressive expansion we had a range expansion range expansion range expansion range this entire span of two years after every aggressive expansion you form a range the actual theory behind it is that when prices are pumping or dumping the market is very one-sided so when we're pumping everyone wants to buy buy
(02:12) and buy however for every buy order there needs to be someone selling to them and eventually that ratio of buyers and sellers will get so one-sided so out of hand making price have to consolidate because they're not enough sellers for the buyers to continue to pump and in that consolidation the ratio will be mostly rebalanced before having either that continuation or that reversal and that's already a little introduction to W of regarding the purpose of your range so how do we pull our ranges okay how

do we pull our
(02:57) ranges when price is trending up and we're making higher lows and higher highs we pull our range from top to bottom and when we have a move back up touching the equilibrium of the range that's when we have a confirmed range

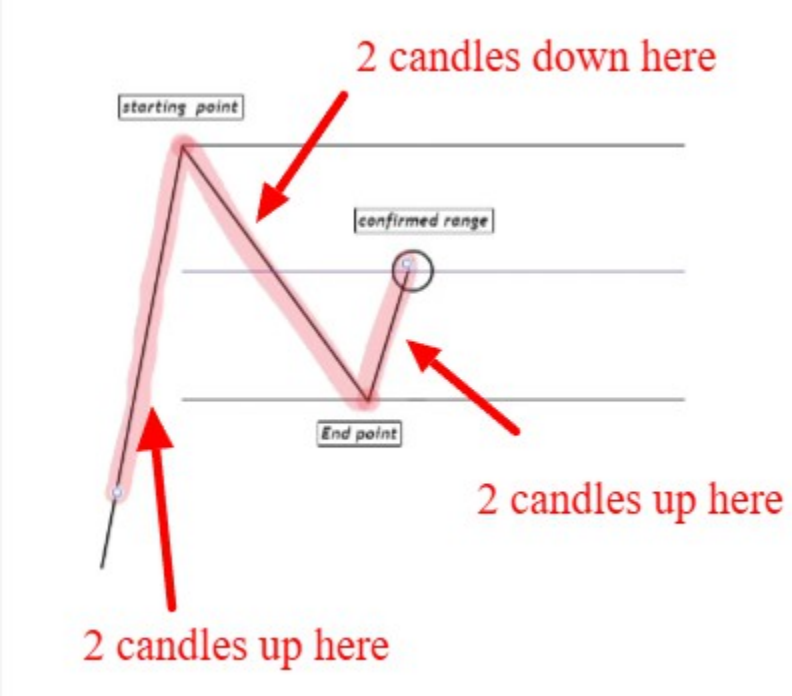


so we're trending up we use our range to our Fibonacci from high from top to bottom and when we have a move back up touching the equilibrium of the range that is when we have a confirmed range when we're trending down we pull our range from bottom to top and when we have a move back down touching the
(03:40) equilibrium of the range that's when our range is confirmed



okay so your range low is already confirmed the moment we have a move back up touching the equilibrium the 05 FIB of the high to the low but that doesn't make it your Market structure low like we discussed in lecture one it's only your Market structure low when we have them move towards that market structure high and we touch it so your range low is already confirmed prior to a market structure low being confirmed same over here normally when we're looking at structure
(04:18) this Market structure high is only confirmed When We Touch the low but your Range High is already confirmed When We Touch the equilibrium of the range so a range is only valid on a certain

time frame if the six candle rout applies in this market you're drawing okay so you want to have two candles up on that time frame two candles down and two candles back up again whenever you have that that's when that range is valid on that specific time frame



okay same when we're trending down you want to have the two candle rule here the two candle rule there
(05:00) and then the two candle rule and the rule coming back down again that's when your range is confirmed on that time frame okay on that specific time frame now applying this knowledge to the Bitcoin chart we already know how to draw our structure right so we had this low right here and then we have a high and then we have a higher low for a higher high

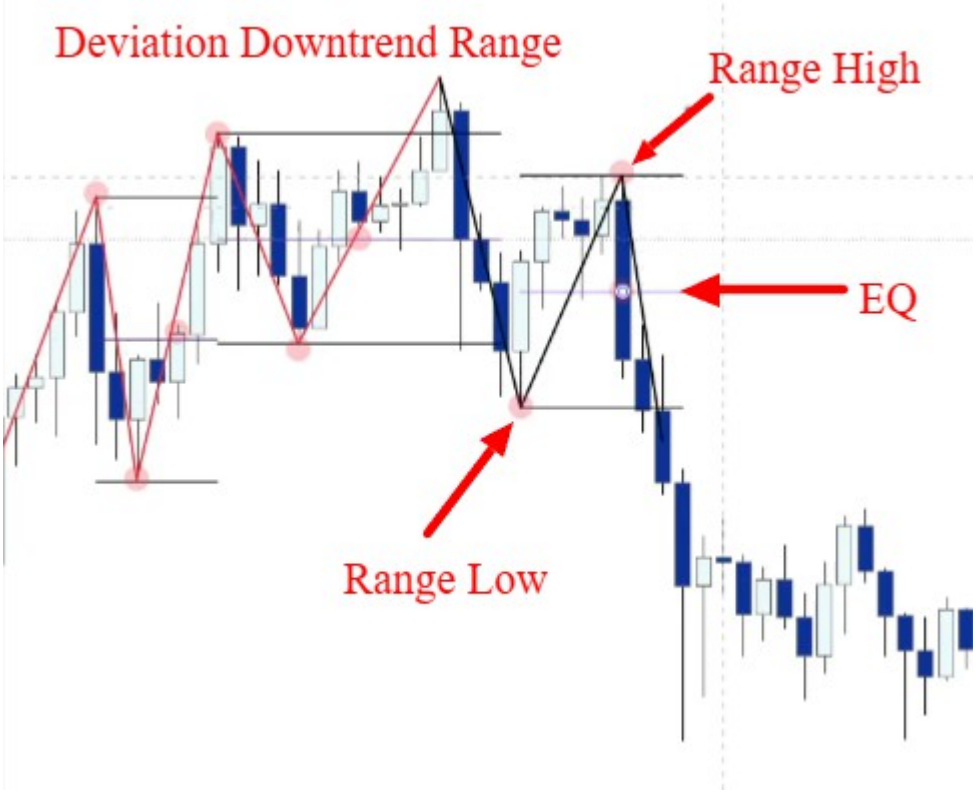
if we zoom in right here we pull our range we're in an uptrend so we pull our range from Top to bottom right here let's make it range we pull our range from top to bottom range high range low and the (05:42) moment we have a move back up to the equilibrium of the range that is when our range is confirmed now(see screenshot below):

BTCUSDT
15s 30s 1m 2m 3m 5m 10m 15m 30m 45m 1h 2h 3h 4h 6h 8h 12h 18h D
Bitcoin / TetherUS PERPETUAL CONTRACT · 3D · BINANCE
Range High
EQ
Range Low
Oct
Nov
Dec
2021
Feb

this range immediately ended up being a breakout and just continuing continuing its Market structure but that's not always the case because if we extended okay if we extended yet again we have a higher low for a higher high right here and then in an uptrend we pull range from top to bottom this being your Range High this being your range low and move back up to the equilibrium of the range confirming the range from here we just had range:

(06:19) deviations now we're going to get into deviations later on in this lecture but for now just know that this is a range deviation but even if you did not use it as a range deviation we can just continue structure higher low higher high and pull it from the uptrend okay now range high range low move back up to the equilibrium confirming this macro range right here we broke structure back to bearish right so we could expect that lower high for the lower low like we were talking about but now our structure is pointing down and in a downtrend we

(07:01) pull our range from bottom to top okay range Low Range High move back towards the equilibrium confirming the range okay



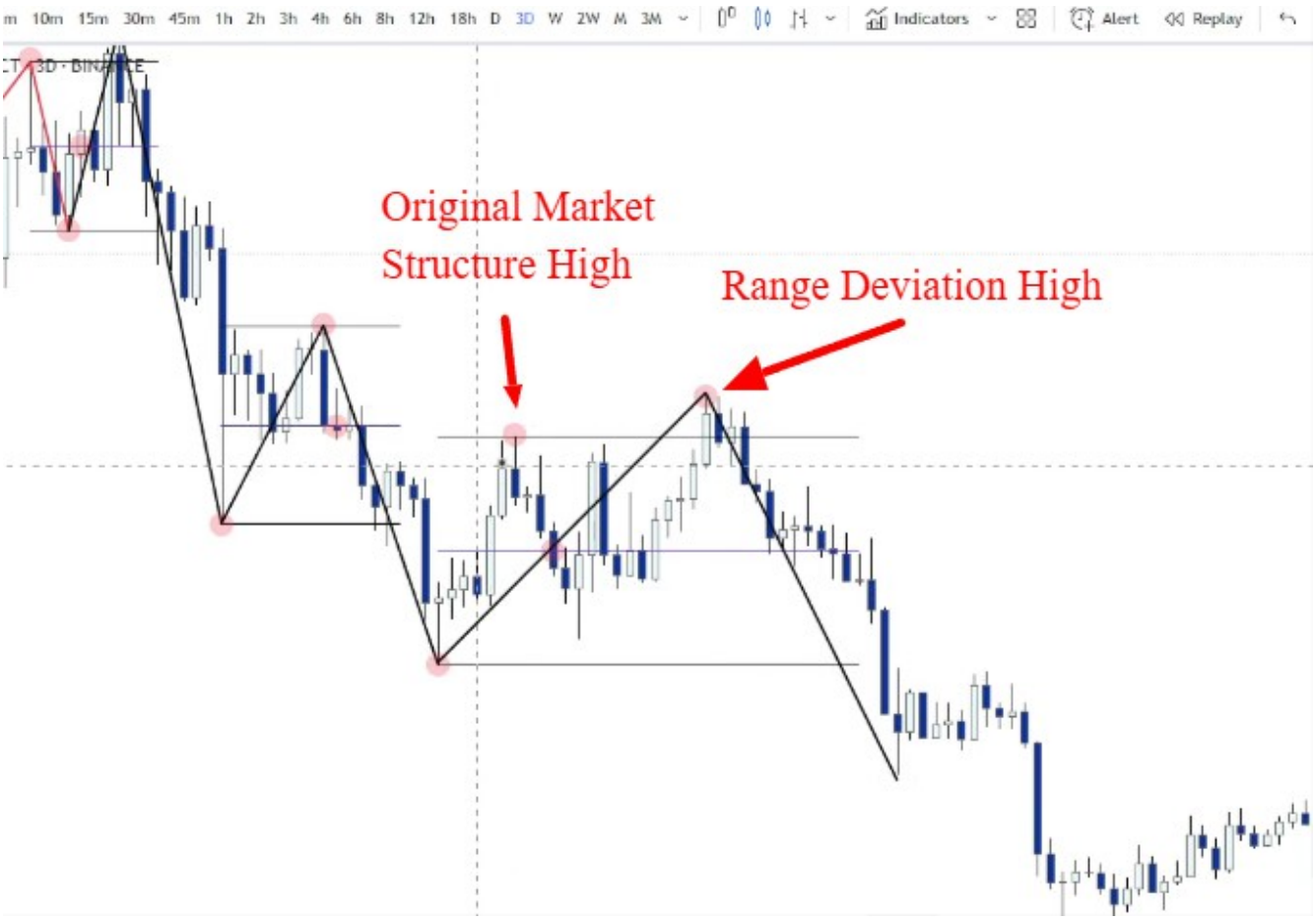
from there we continued our downtrend with a low and then a high and when we're downtrending we pull range again from bottom to top bottom to top and they move back down towards the equilibrium of the range confirms the range okay from there we had that massive move up let's keep that here from there we had that massive move up pointing up back in that upward structure environment so when we're in

(07:54) an uptrend we pull our range from top to bottom there you go and I move back up towards the equilibrium of the range confirms your range and from there we had a range deviation okay again that will be explained later in this lecture

and then we broke structure back to bearish so right when we broke structure back to bearish that brings us in that downtrend environment making us pull our range from bottom to top okay so range Low Range High High move back down towards equilibrium of the range confirming the range(see screenshot below):

(08:35) from there we continue that structure drawing lower high and lower low again a range low range high range Low Range High move back down towards the equilibrium of the range confirming the range so this is a crucial example where I'm applying that six candle rule okay I'm applying the six candle rule where you have the two candles coming down you have the two candles coming up and you have the two candles coming down again so while putting in this High that's already confirming your range this is not the first Range High this is the first Range

(09:13) High because that's when we had to move up and down already touching the equilibrium of the range making this a range deviation so this is a range deviation high but when drawing your structure it's your Market structure High okay but this was your ini Range High because from here we already had to move up and down applying that six candle rule on the 3-day time frame making this already a confirmed range and this was just a range deviation okay so we continue drawing this wasn't uh a range on the 3day because there's no valid structure and



(09:49) then from here we were already in a downtrend again pull our range from bottom to top but now look closely again guys look closely this is how your range started range Low Range High move back down towards the equilibrium

from there we had one deviation and we can extend it towards that deviation High

we had another deviation

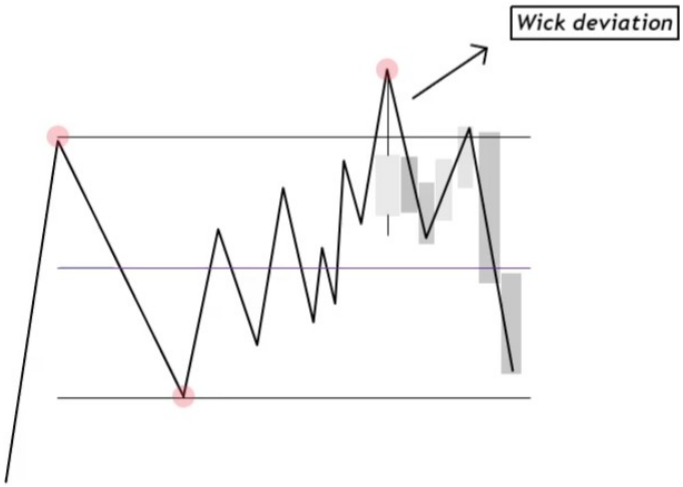
and then we just deviated the high over and over again each deviation being slighter uh and and and less aggressive

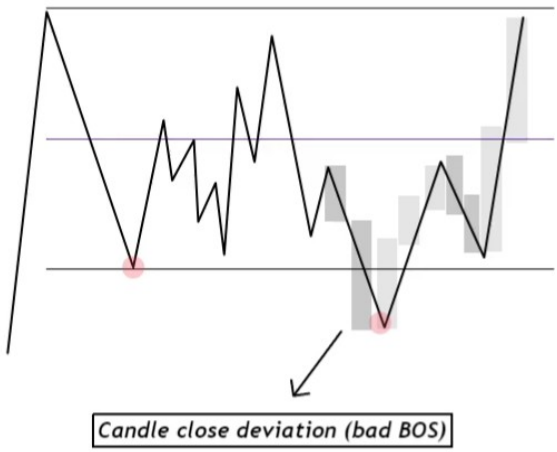
and then we dumb down confirming this now as our range but on these two points right here (10:23) that's where your range started but it ended up expanding and this is going to be more clear later on in the lecture after understanding deviations but it's crucial that you guys understand that the range originally on the 3-day time frame started here

you always have to watch when do I have that six candle rule applying with our range low our Range High and they move back down towards the equilibrium okay and then that's how your range originally started so this is how the range started here and it just expanded into a bigger one deviating the (10:54) high over and over again before having a rotation back down towards the range low okay I always want you guys to check I'm telling you this now I always want you guys to check what the highest time frame is that your range is valid okay because this is going to be crucial for deviations so always apply that six candle rule where you want to have two candles coming down two candles coming up and then two candles coming down again touching the equilibrium not touching the low of the not not the market low no touching the equilibrium

(11:31) confirming already the range because understanding what the highest time frame is that your range is valid is going to be crucial for the deviations but for now we can see you know the examples I have on the chart in the introduction of this video are basically all these ranges you see we just drew them and they're literally all these ranges right there

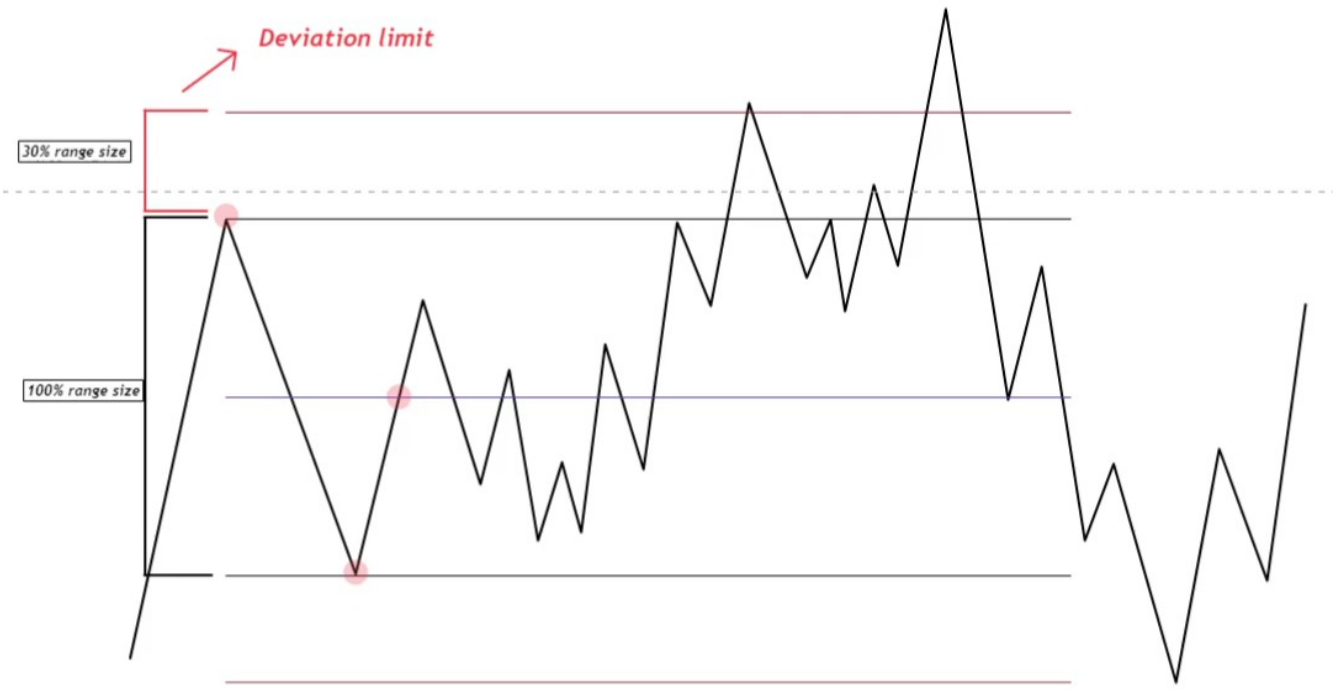
so let's get our charts cleaned up again there we go let's talk about deviations what is a deviation a deviation is when price exceeds your range high or low but it



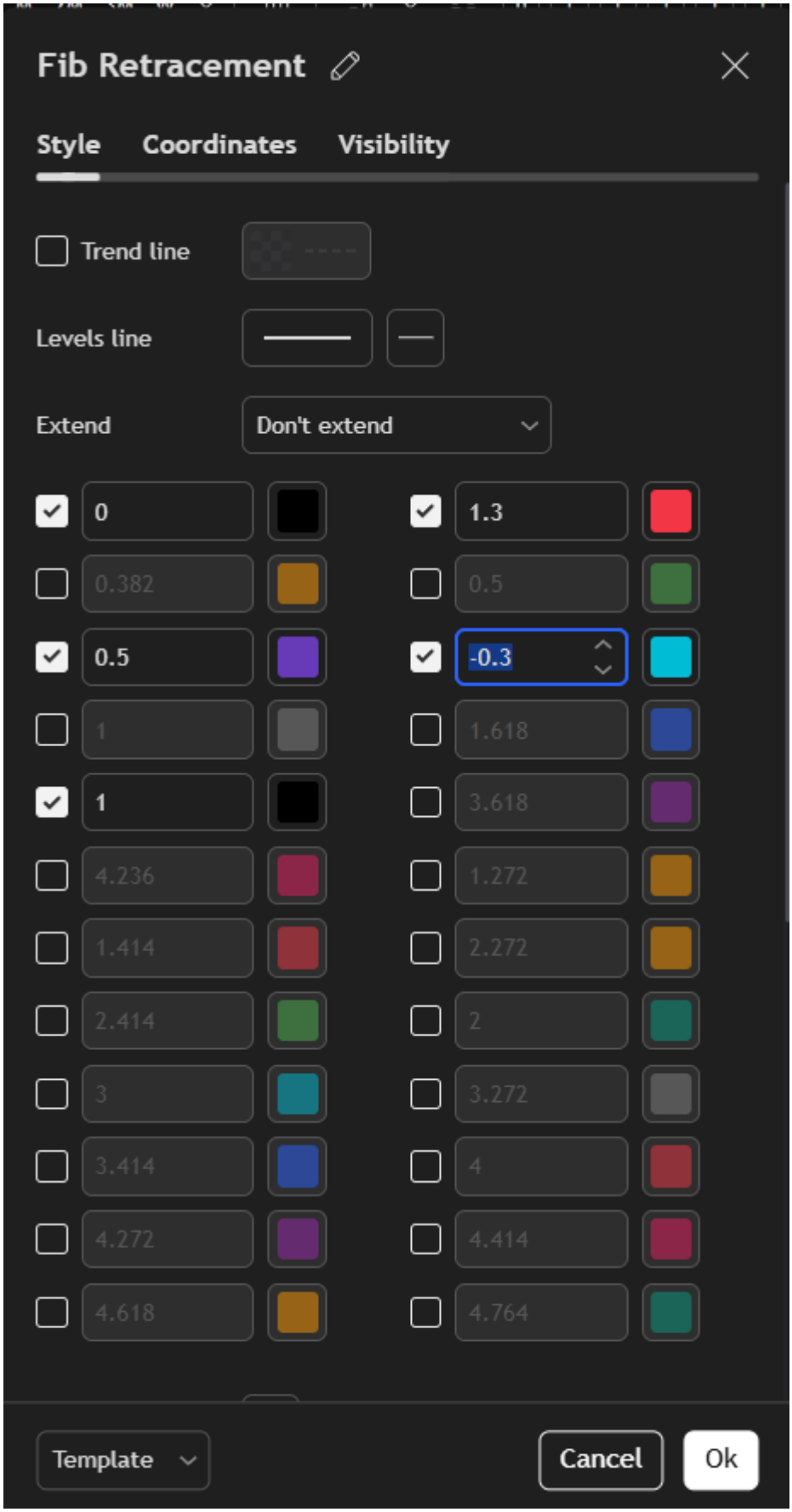


(12:19) does not break it and when this happens we can expect a reversal towards the range low or close to the range low if we deviated the high for example and if you deviate the low of the range we can expect a move back up towards the Range High or just close to the Range High okay definitely in the upper section of your range how do we know if something is a deviation or something is a break of structure and that should already be the question that came to your mind while listening to me talking about deviations CU how do we
(13:01) know that this is not just a higher low for a higher high and we can expect the trend to continue right or a deviation and we can expect a reversal so the easiest deviations will always be the Wicks since a wick is not even a break structure and we can expect a reversal we were talking in lecture one about hey if we Wick our Market structure high and we break that structure from the low up we can expect the rotation back down towards your Market structure low well now put in in a ranging environment we have an uptrend
(13:42) we have our Range High we have our range low that got confirmed right here on this equilibrium touch and we Wick the high so now we can call the Range High and if we break structure we can have a rotation back down towards the range low very easy Wicks are always the easiest deviations because it's not even the break of structure in the first place okay however I have also taught you guys about good break of structures and bad break of structures right where that good break of structure it had that good distance away from your Market structure
(14:19) High and a minimum of one candle close above it before retracing that was that good break of structure well the bad break of structure was whenever you see something like this where we break our range low but the second candle immediately comes and closes back inside and it's very simple a bad break of structure falls into the category of deviations so whenever you break your range low and you immediately come back inside making it a bad breakout structure a bad range low break that falls in the category of a
(14:58) deviation is that simple guys we have a wick which is obviously the easiest form of a deviation because it was never a break of structure in the first place so you should have never even looked for a higher low for a higher high unless you broke structure from the top down also discussed in lecture one when we can expect a continuation even though we Wicked it I think it was scenario two if I'm not

mistaken but secondly we also have a candle close deviation and that's simply just when we have a bad breaker structure however I have something else
(15:34) for you guys I have something else for you guys and that is called the deviation limit what is the deviation limit in short the DL the DL is simply a limitation of how far price can deviate based on the size of a range set at 30% preferably when you want to call when you want to call a range break a deviation you do not want your price closing above your DL so what can you see right here in Black you can see our Market structure okay where we have our high we have our low and we got that move back up towards



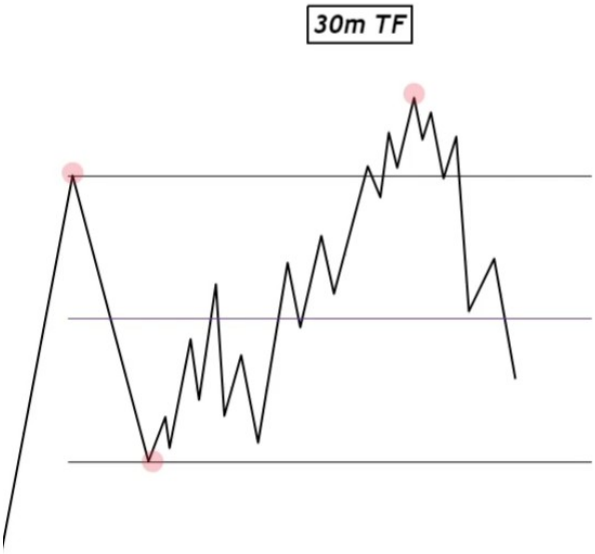
(16:21) the equilibrium confirming the range our Range High and our range low is 100% of our range size obviously because it's the high to the low our deviation limit is set at 30% of our range size so what you can do when I'm double clicking on my fit retracement you can do a 1.3 and a -0.3 which will give you 30% above your Range High and 30% above your range low making this your deviation limit

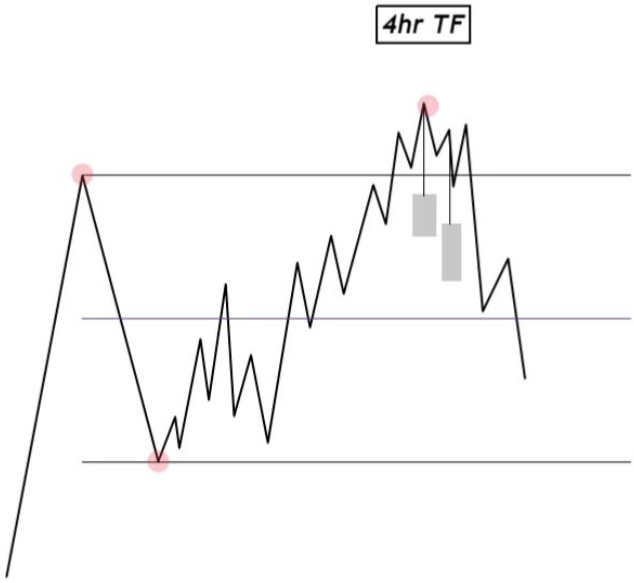

Fib Retracement
Style
Coordinates
Visibility
Trend line
Levels line
Extend
Don't extend
0
0.382
0.5
1
1
4.236
1.414
2.414
3
3.414
4.272
4.618
1.3
0.5
-0.3
1.618
3.618
1.272
2.272
2
3.272
4
4.414
4.764
Template
Cancel
Ok

okay so when price is breaking your r high but it doesn't close above your deviation limit it still Falls obviously in the category of a
(17:11) deviation and when you're breaking the range low but you're not closing below your deviation limit it still falls in the category of a deviation now a few rules regarding this DL tool right it's very nice to have some somewhat of a threshold for deviations and that's what I'm giving you right here okay and that 30% is just like it when you look at it with your with your own eyeballs and when you come more become more experienced you know you'll kind of see that it also looks clean when it doesn't deviate too big because when it deviates
(17:48) too big it just looks like structure more right looks more like structure but a few rules regarding your DL is that whenever you have a deviation that didn't close above that DL and you come back inside your range you extend your Range High to the deviation High okay and then your DL will increase as well because this stays a 30% of your total range but your total range increases in size because you're moving your Range High to your deviation high so whenever you have a deviation that didn't close um above your
(18:23) deviation limit and you come back inside your range you need to extend it okay extend it to that Deviation high and from there uh use those limit lines again okay now another thing is that when I have for example a very good look demand Zone okay a very good-looking demand Zone which is something we will be talking about in lecture three or four no I think it's three um but when I have a very good looking demand Zone overlapping my deviation limit I'll just picture this deviation limit being below the demand Zone because we could close

(19:02) in the demand Zone and still get that bounce because it's a it's a goodlooking place to look for a along right so even though it will close maybe a tiny bit below that deviation limit line I still um it's still okay okay so whenever you have your DL lines overlapping with demand or Supply below and above your range just picture your DL line and your DL limit above that Supply zone or below that demand Zone okay just a few rules regarding that deviation limit now the lower the time frame my range is I can keep this on my chart for you guys
(19:49) by the way right here while I talk the lower the time frame that my range is the more strict I become with my deviations okay when I'm trading a higher time frame setup price likes to act uh heavier and what I mean with like heavier is that um whenever you're trading a high time frame setup

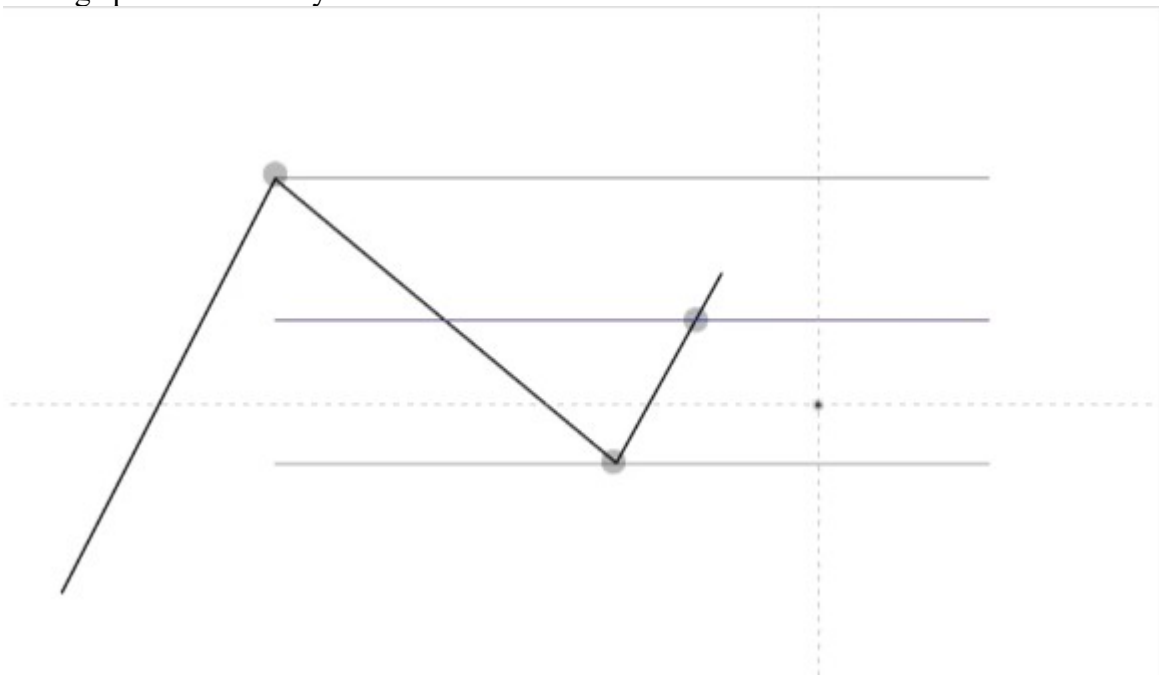
uh they often times have have bigger deviations okay they have bigger deviations that just take more time to manipulate more people um compared to low time frame setups so when I'm training High time frame setups you can kind of use this DL
(20:27) you can always use a DL to but you can expect some deeper deviations some deviations that take more time on the higher time frame because you know the higher time frame just moves slower okay and they want to manipulate more people um and therefore more time spent above your Range High it will trick people into thinking that it's actually a range break while it's not okay now on the lower time frame on the other hand when I'm on the 5 minute I'm on the 10-minute time frame I want my deviations to be quick okay I want a wick or just a bad
(20:58) break of structure but immediately you know deviating that high and immediately coming back inside I want everything to be quicker okay I want everything to be quicker and more strict because the lower time frames are already more risky so I want everything to look better so quicker deviations nice Wicks and nice you know immediate deviations coming out of the range and then boom getting acceptance immediately back inside of the range okay and coming back if you guys remember I told you guys always look for the highest time
(21:31) frame that your range is valid on and coming back to that coming back to that is if you check your ranges okay your range could be valid on the 30 minute applying the six candle rule but it could also be valid on the 4 Hour applying the six candle Rule and it may seem like a break of structure when you're deviating your when you're deviating your high okay you can always use your dl2 which will save you probably 99% of the time but when you're on the lower time frame this may seem like a break of structure where you



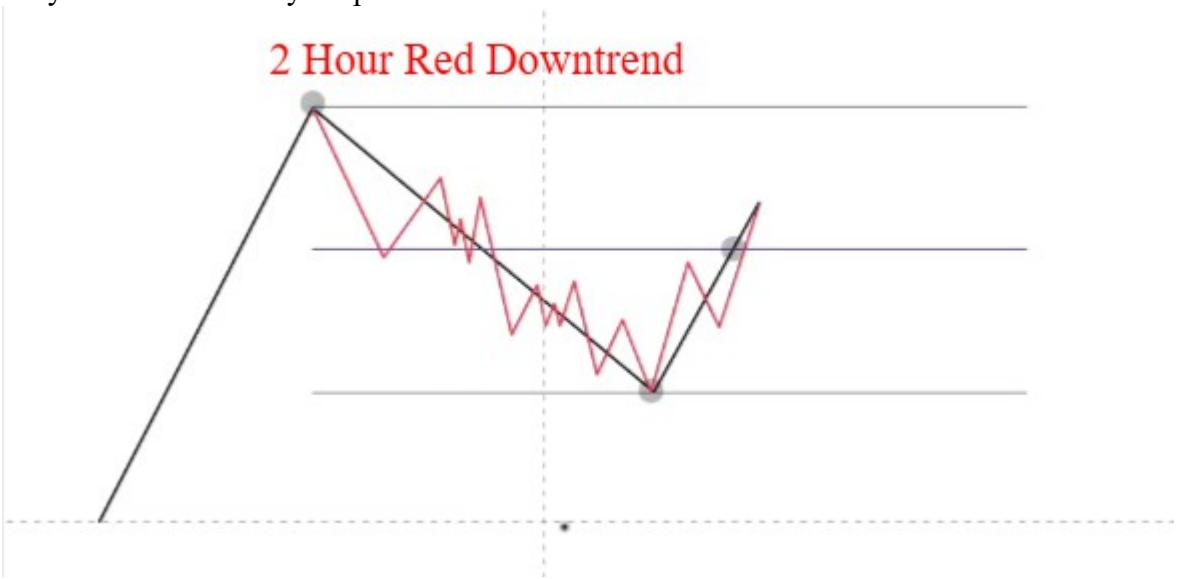


(22:21) have all these candle closes above multiple candle close above it's not a bad break on the 30 minute it's just it's the break it looks like a break on the 30 but your range is also valid on the 4 Hour and on the 4 Hour that 30 minute break could literally just look like two Wicks on the 4 Hour time frame therefore making it a wick deviation and a very nice deviation right so always check the highest time frame that your range is valid on because it may seem like a break on the 30 but if the range is also valid on the
(22:58) 40 hour is could literally just be either a bad break on the four or a wick on the four so that's something to look out for okay but you can always check using your dl2 no let's talk about different ranges guys let's bring back our overlapping Market structure okay let's bring back the overlapping Market sure sure let me make sure everything is going okay we're all good to go perfect perfect perfect

perfect hope you guys are following me hope you guys are understanding me I think I'm making sense but in general guys this is just
(23:44) repetition right you listen to what I'm telling you you listen to the rules you apply the rules and you just play in the chart okay especially in the end of this mentorship we have multiple videos where I go over my trades in a systematic approach uh step by step of you know High time frame to low time frame to finding that micro entry okay but different range pools you guys know about overlapping market structure now so if you understand overlapping Market structure that means we'll also have different range pools so let's say we

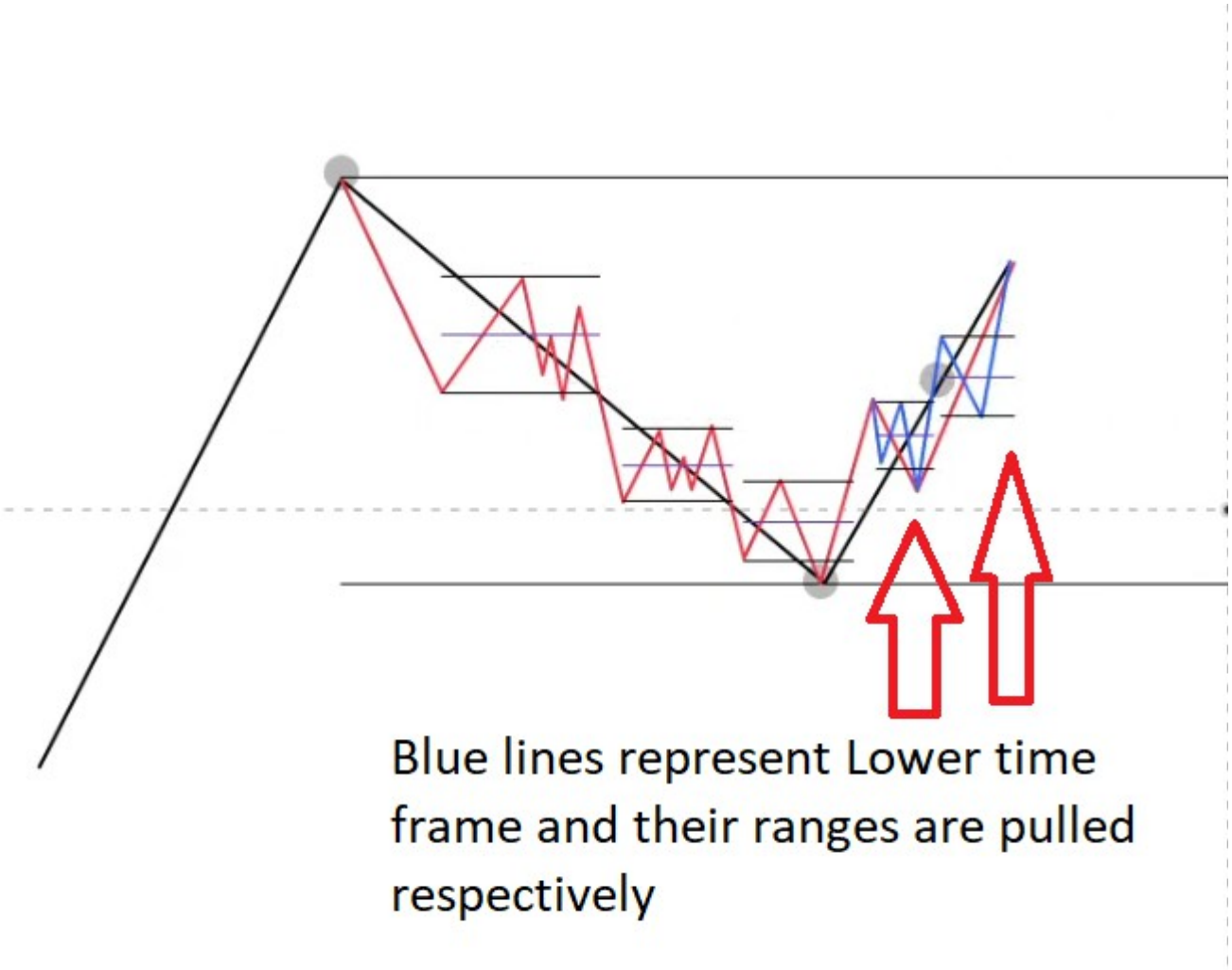


(24:20) are trending up on the higher time frame and we have a high and we have a higher low and we have a higher high we know now that we can even keep it till here that we're trending up on the higher time frame so our range is pulled from top to bottom Range High right here range low right here and this is where that range is confirmed okay but this may look like one move down on the 4 Hour but maybe on the 2H hour or on the one we have some sort of a downtrend here right like this let's make it red so maybe on the 4 Hour your price



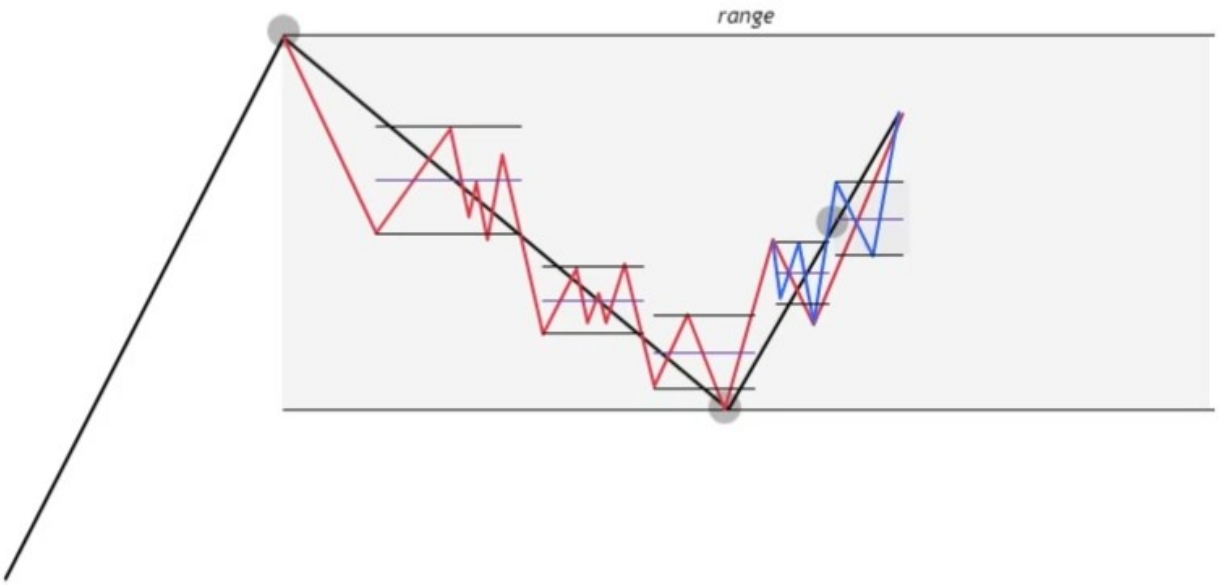
(25:21) action looks like this and then when you go in on the 1eh hour you actually see some sort of a downtrend to get from point A to point B be like discussed in lecture one I'm going to get rid of this equilibrium guys otherwise it's going to get too messy but we know that on the black dot that's where our um black market structure range got confirmed but locally here on the lower time frame we're in a downtrend that's the only way to get from point A to point B and in a downtrend we pull our range from bottom to top right and we actually see some

(25:51) sort of a ranges right here same right here that's why I drew it the way I drew it guys you know with the extra pools inside and right here right so we may actually have some sort of a of a range right here uh coming down but you know there are multiple types of structure guys because we can even go on the lower time frame the blue Market structure and we could actually for example in this uptrend we could have some sort of or even here we can have some sort of extra structure right don't want to make it too messy but we can have some sort of extra

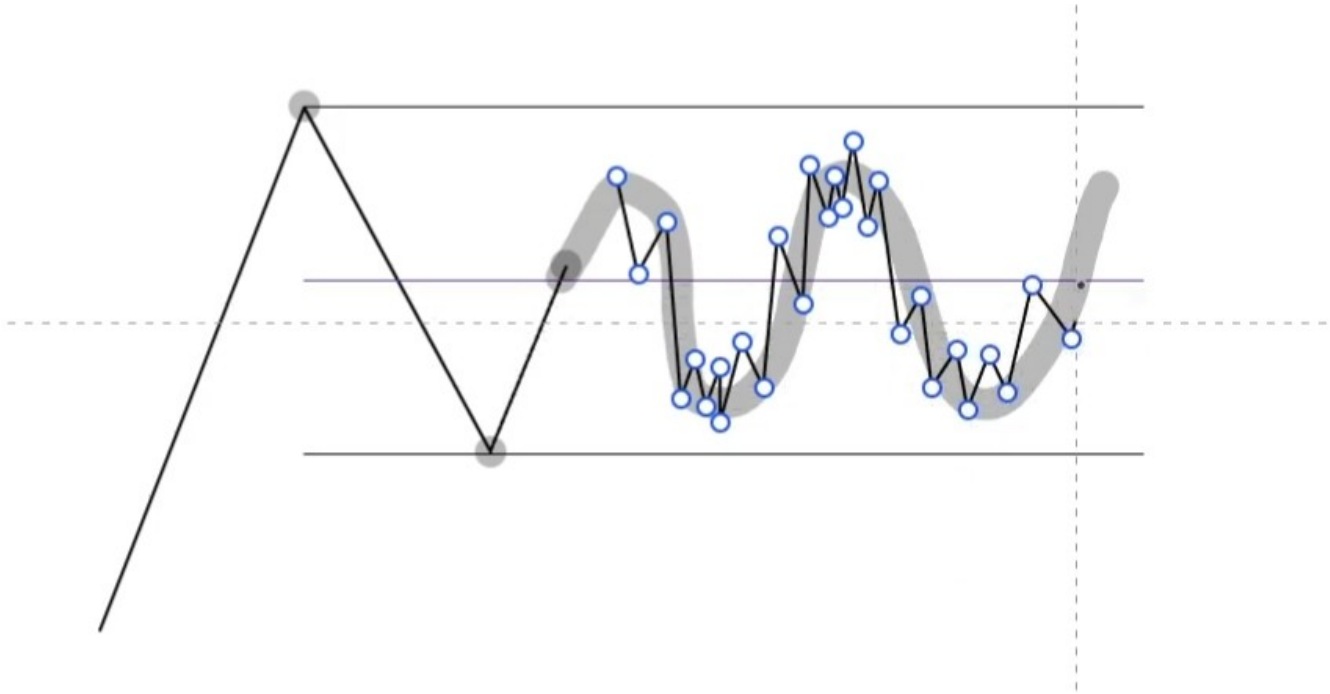


(26:37) structure that blue structure drawing we right here in it ret Trad we're in the downtrend and we can see a range on the lower time frame and then we break back to bullish and we can see a range on the again Lower time frame from top to bottom so we can have multiple ranges depending depending on what type of markr structure that we're drawing but what you're already seeing here is not only just multiple ranges based on Market structure we also see ranges within ranges because this is now a massive range right this is a massive range and

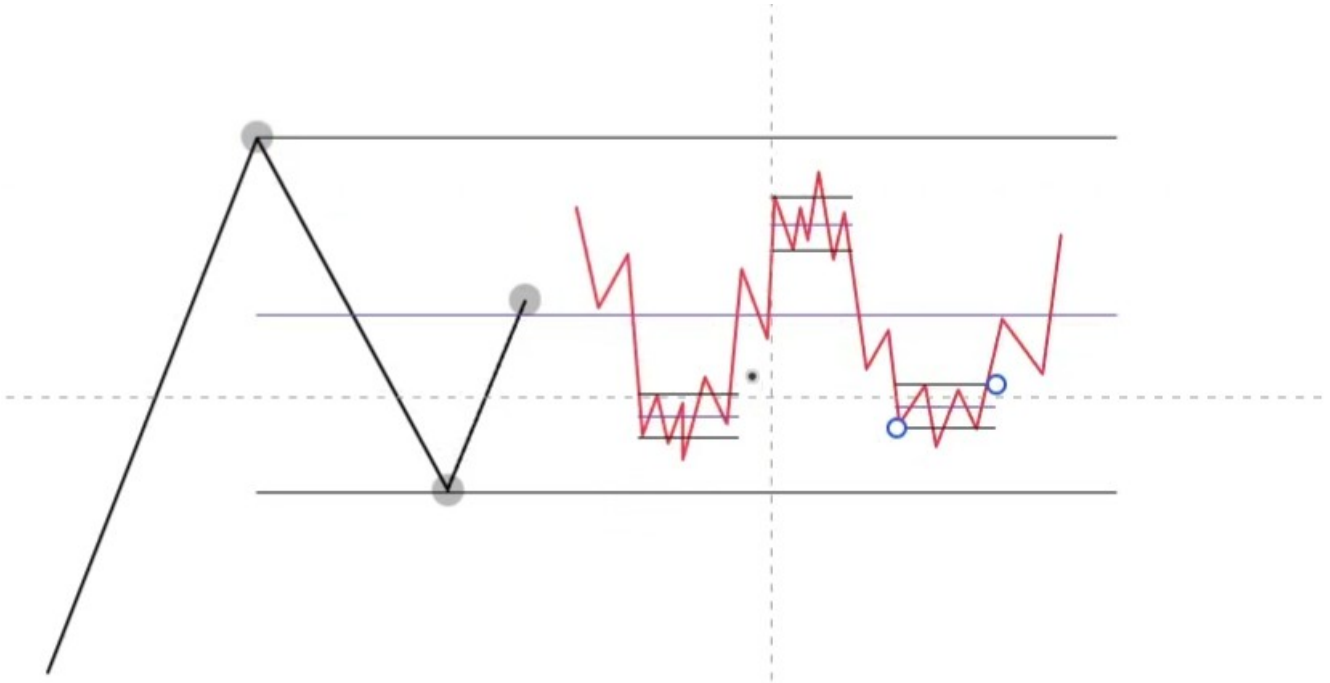
(27:19) inside of this range we have the moment we the range got confirmed right here we have another range right and that can continue itself for a long time and ranges within ranges are so so so common it literally literally almost all of the time you have it range within the range literally almost all of the time so let's say we have a range right here okay should draw that move back up there you go and we have our Range High and we have our range low range high range low confirmed I want you guys to understand that price whenever we are ranging we



(28:08) can have many internal rotations rotations inside of the range without taking an extreme Point like this many okay now I don't want you guys to get confused trying to draw Market structure when we're ranging because we're just r ring we're not trending so we're not drawing our structure whenever we're ranging we can have many rotations from high to low inside of the range okay where this upper section is what we call the premium section of the range so above the 0 five to our Range High is what we call Premium pricing and then
(28:47) from our equilibrium towards the range low that's what we call Discount pricing okay so we can have many rotations from premium back to discount from premium back to Discount and want you guys to get trapped into trying to draw structure to also you know look at ranges when we're just moving horizontally so whenever we're ranging always the most important Marr structure pool to watch is just your most recent expansion so right here to get from this premium pricing towards this discount pricing price is moving
(29:19) down so we'll have some sort of downtrend here okay we have some sort of downtrend and then to get to move back up again we have some sort of uptrend okay until we range again and then we can have some sort of downtrend again just like that let's make this red so red is representing our internal price action and meaning price action within our Market structure high and our range low okay so whenever we have internal price action and in internal range rotations the most important structure to watch for is just the most recent expansion so



(30:06) when price is here okay we just had that move down so this structure pool is the most important to watch okay and then from there we can see we were having lower highs and lower lows and this became a range and then we can trade this range and potentially rotate it back up towards the premium section of the range and from there we're trending up so we pull our range from top to bottom right here comes back to the equilibrium confirming it and maybe we'll look for some sort of short rotating it back down towards the range
(30:35) low and then from there we have some sort of downward structure coming into that lower area and then we pull our range from bottom to top and then we can look for some sort of range to rotate it back up again so ranges can have many many many rotations and don't get trapped into trying to draw your mark stru from the low up because that's useless because we are going horizontally okay but we can have rotations within the range but when we have ation within the range just look at the structure from the most recent
(31:02) expansion so right here looking at the structure down to form your range then right here we're going back up so looking at your structure from the low up to confirm the range Etc okay let's uh let's look at it from a live example on on salana right here so I'm going to delete this right here go into replay remote for you guys there we go so basically we're trending up massively okay we have our high we have our low I'm applying the six candle rule guys I'm applying the six candle rule we have our high we have our low we have our



(31:43) move back up okay let's pull that Fibonacci to and we can clearly see that we have our Range High we have our range low let's make this black and we have our move back up towards the equilibrium of the range confirming this as our 3-day range massive range okay just just just a massive massive range now I'm going to delete these lines for now uh so it becomes more clear but you know that we have this massive range going on okay and right here got confirmed now if we go on on the lower time frame okay we may actually see something more like we

(32:26) just discussed because to to get from our um Range High to our range low we need to have have some sort of downward structure otherwise how do we go from point A to point B where need to go down so probably has some sort of downward structure so applying my market structure on the 18 hour we could see a high a low a lower high a lower low a lower high and a lower low let's make that red let's represent the red so right here we're trending down what do we do when when we're trending

down guys I'm going to get rid of this equilibrium
(33:00) otherwise it will get too messy but what do we do when we're trending down we pull our range from bottom to top and now let's already apply that um dl2 okay let's already apply that dl2 so what can we see right here we have our range low let's make it red we have our range low we have our Range High we come back down to the equilibrium of the range okay valid range we're on the 18 now trending down trending down Pull Your range from bottom to top and right here it already touched the equilibrium and you can clearly see that this move

(33:37) up right this move up was simply a deviation why it was a wick it was a wick okay but we also did not close above our dl2 making this a range deviation and what followed was a move and a full rotation back down lower now our second Market structure pool looked like this we're trending down trending down we pull our range from bottom to top this being your bottom this being your top and right here you come back down to the range confirming this as a new Range so we can see that yes we have a massive range going on right now but right here

(34:28) here we already had local ranges okay we already had local ranges now right here we confirmed that macro range okay right there we confirm that macro range so now I know okay let's just watch the rotations right we have our Range High we have a range low we know that these were ranges let's put it as a range otherwise it become too messy now see we can put that 0 five on right here we have a range but from the low we are trending up okay because we're just going to watch the most recent expansions we're going to watch our rotation from the low

(35:10) to the high potentially towards the low again so we have a low right here the range got confirmed so the moment it got confirmed right here we can draw the structure like this get rid of the EQ again we're in an uptrend locally from a first range rotation back up pull our range from top to bottom right here hat your Range High had your range low had that move back up touching the equilibrium of the range and then from there I think this was a deviation maybe it just missed it no there you go it was a range deviation and you moved up

(35:51) higher okay so you can see you can see that we have ranges now within ranges because this black the black dots represent one massive range and the Red Dot represents the lower the lower time frame ranges okay the ranges within ranges and coming back to that drawing of mine we know that that we can have many range rotations okay it could do this for way longer before having a breakout or a you know grab that extreme point grab that Main Range High Point or the main range low point so right here when we have to draw the

(36:31) rotation we can see the rotation down we can see the rotation up so when we're moving up right an uptrend so I'm drawing my structure from top down right here we're moving back down again okay we're moving back down so from this point to this point okay we were in some sort of a downtrend so let's zoom in okay let's zoom in right here see what we can find what I immediately already see okay I see some nice looking support some goodlooking Demand on the left here guys how I pull this demand is going to be explained in the next lecture

(37:11) okay but this is goodlooking demand this is good- looking Demand right here and I can see our most recent rotation is from this top to this bottom so I'm just I know in a bigger range like the context is that we're in a bigger range I'm just watching my local um rotations right now and this is the most recent rotation from this high we had a high we had a low we had a lower high for a lower low lower high lower low lower high lower low I'm just watching my structure guys just watching the structure okay we came into an area of

(37:47) support we're in a downtrend in a downtrend we pull our range from bottom to top okay let's use that dl2 there we go we can can see this was our initial range low that's our initial Range High we came back to the equilibrium right there okay I want to make these dots smaller by the way we came back to the equilibrium of the range confirming the range low and from there we had that first deviation tapping into demand okay first deviation right here tapping into demand so let's get rid of this structure drawing and guys is the a

(38:28) deviation is this a deviation from a break perspective yes we have a wick and then we have one candle close below it and then we have a candle close back inside so even just look at it from a bad break of structure perspective this was a very bad break of structure making a deviation but we also had our DL limit not being exceeded double the confirmation right definitely a deviation when that happens plus we also had support so even if our DL limit was above our demand Zone I would pull it below that demand Zone okay locally

(39:05) speaking so not I wouldn't put it in this case all the way down here because when that happens you know I will still call it a range break

but if it was if the DL limit was right here I'll just put it a bit below it (see screenshot below)

okay just a bit below it give it some more margin because we have good looking Demand on the left which will be clear why this is good-looking demand in the next lecture so when know we have a range and we have deviation one or we have range low and we have a deviation here now I'm already going to give you

(39:36) guys a local sneak peek into TCT Concepts but this means it could be a you know a potential model one accumulation or a model 2 accumulation okay not going to explain why yet but that will all be clear now guys the same way how we can have this range inside of this massive range more locally speaking we could have ranges inside of this 4our range right cuz I'm the 4 Hour now so if I go on let's say the 45 minute for example okay let's say if I go on a 45 minute we clearly know this was a deviation so what do I do I extend it

(40:20) towards that new deviation low there we go put these dots into place this is what where it got confirmed initially there we go now we can look exactly the same way how we found this forh our massive range we can look for more ranges inside because the moment we confirm our range okay we had that move down we had that move up and we had that move back down again confirming the range right here now we can just look for those range rotations I was talking about earlier the same way it's it's the exact same way because from here we deviated

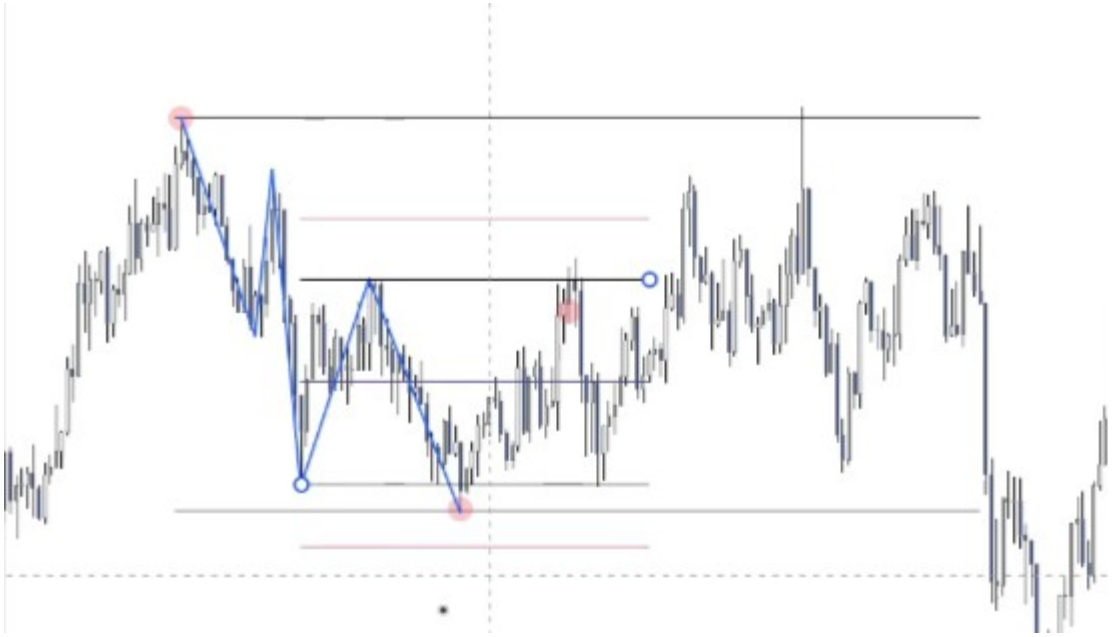
(41:01) the low and then we had to move back up again and then we had to move back down so now I'm watching those local rotations for potential Market structure pools for potential ranges so I think if I'll keep this here it become a bit more easy this is our 4-Hour range our red dots represent our 4-Hour range with a range low our Range High and a deviation here you know that felt that was in between our range low and that DL limit now let's just watch the most recent expansions we have a low we have a high higher low higher high

(41:37) was this a good trading range guys well we had our Range High we had our range low we came back to the equilibrium but we immediately broke out see you see the candle close above it so this range is not more a range it's more Market structure trending up okay more Market strcture trending up so we can continue drawing it a higher low higher high boom boom came back down came back up oh wait again range uptrend pull our range from high to low let's get rid of this equilibrium otherwise going messy range range high

(42:18) range low equilibrium touch confirmed range hey we have a range inside of this range right just by following our most recent expansion men in our most recent rotation which was from this low up so now we have a range right here however in order to get from this point towards this point we need to

have some sort of downward structure don't we I think we do so if I zoom in on the 15 minute by zooming on the 15 minute what do we see guys how should I draw structure on the 15 minute to get from this point to this point high low lower high lower low

(43:13) lower high lower low let's put this as our range let's get rid of the equilibrium so we know we're inside of this bigger range but look at that in a local downtrend let's make it blue we pull range from bottom to top and when we have a move back down towards the equilibrium of the range that's when this range gets confirmed you see how that works guys and then from here we have a range low we have a Range High we confirm it on this equilibrium we get that deviation one we get the extreme liquidity grab confirming a TCT model 2 schematic have

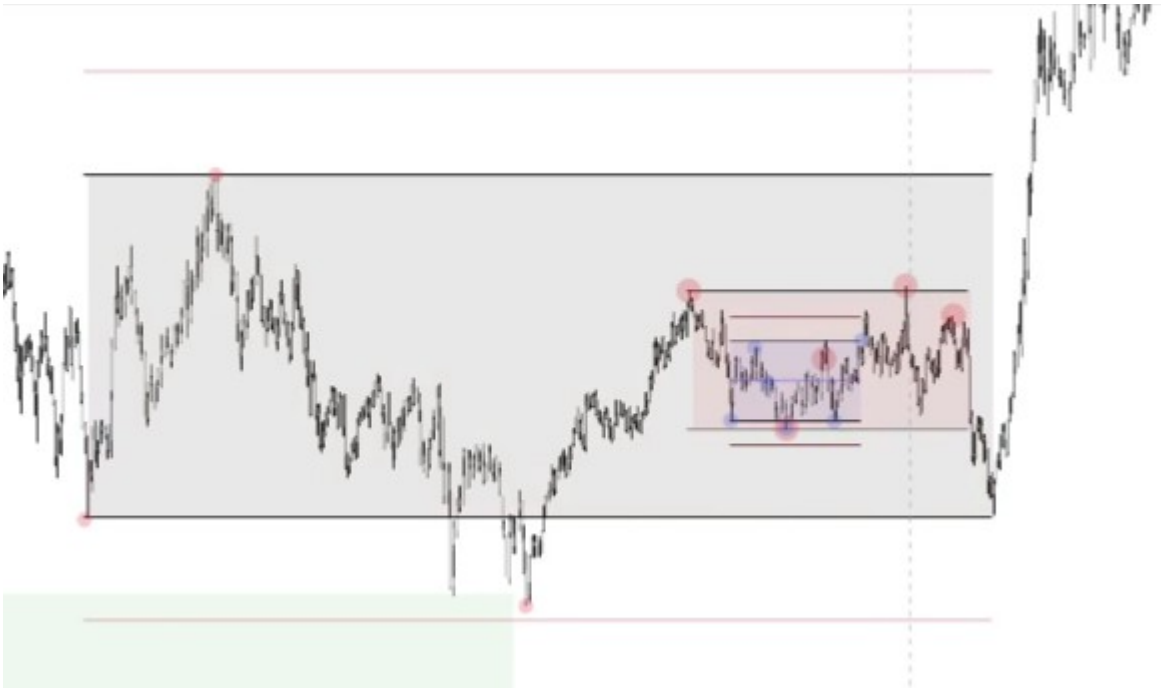


(44:06) a rotation back up towards the Range High of this blue range okay right here exceeding it coming up towards our main red Range High deviating it from here and then confirming a model two schematic on our red mark structure now you don't need to you don't need to understand the accumulations and the TCT schematics okay that will be way clearer in in later on in the lecture but by drawing the right ranges and for people that have already watched me for a while you can see how drawing the right ranges allows you to trade the right

(44:49) schematics so we had our uptrend okay we had our uptrend for the higher low for the higher high right here confirming our red range range high range low but to get from our Range High to our range low we had blue Mark structure pointing down okay and then both our ranges so this became our range right here let's make that blue this was our blue range pulling our structure from top to bottom this is our red range okay this is our red range so we have the range within the range and both ranges had its own schematics okay both

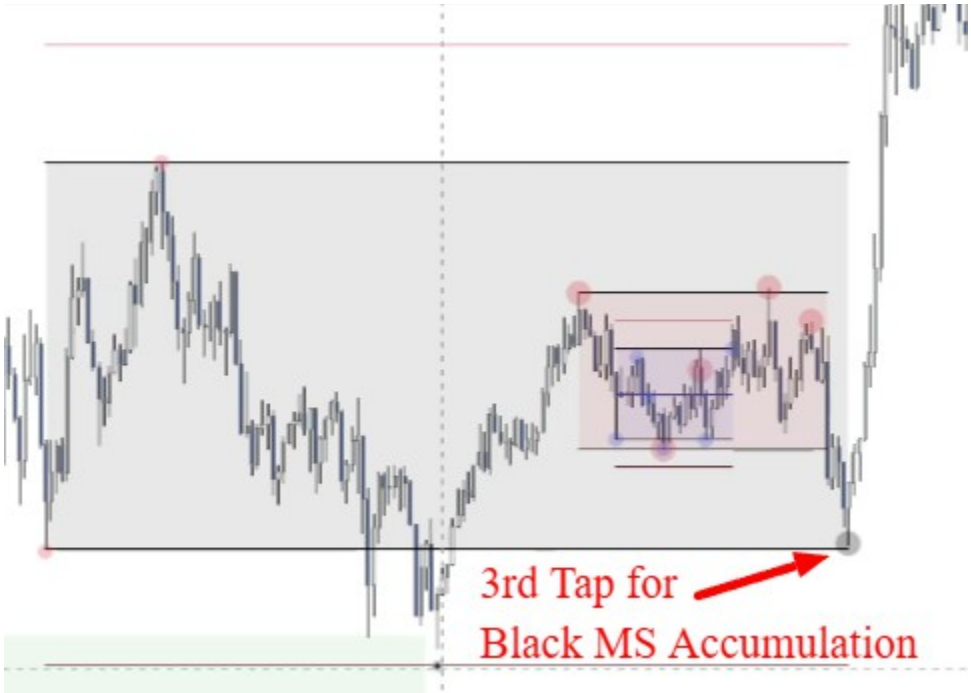
(45:31) ranges had its own schematics where right here you had a one tap a two tap and a three tap at the top but the or in order to deviate that high you had a local One Tap two tap three tap at the bottom okay which you don't have to understand now but you can come back to this range um time stamp in the video after understanding TCT Concepts now and are like oh yeah I understand now but zooming back out again guys this red range was simply just from a range rotation back up from this bigger range that we were in I think I made this also red but

(46:07) let's call this the black range right let's call this the black range and that was from our main range right where we were trending down on the way higher time frame like the four to six hour okay right here you can see it 4 to six hour so we have ranges inside of ranges and then we check the most recent expansion down on the high time frame from this bigger range that gave us our 4H hour range but the same way this 4H hour range can be inside of the 3-day range we can have 15 minute ranges inside of the 4H hour ranges so then we were like



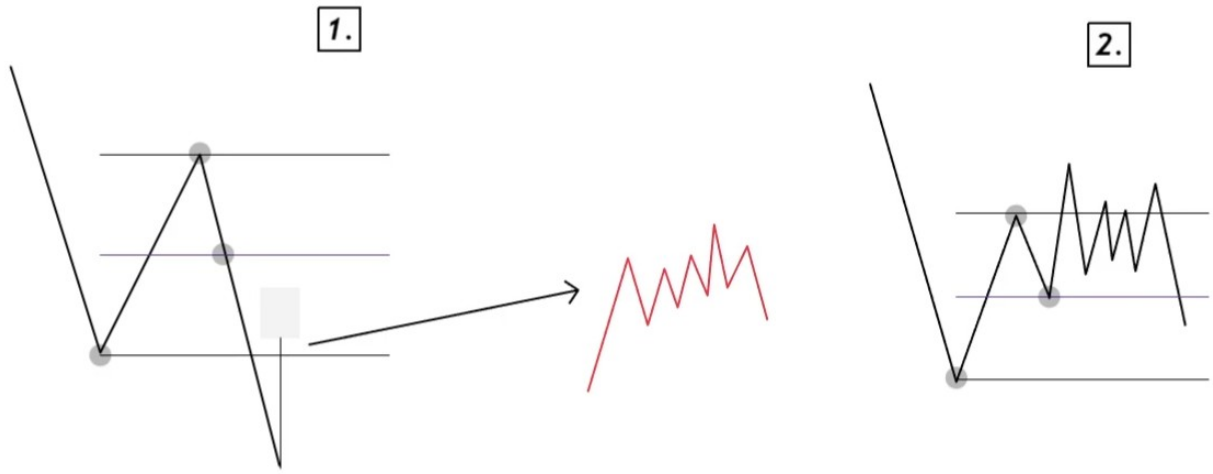
(46:50) okay what is the main rotation inside of this 4H hour range well we had that move back up right here from this low to that high creating our red range but in that red range we had our blue range and you know what's so beautiful guys you know what's so beautiful this low right here was our third tap for our black market structure accumulation so what I'm about to say might sound crazy okay but I'm just saying this for the people that have been watching me for a longer period of time you don't

have to understand this

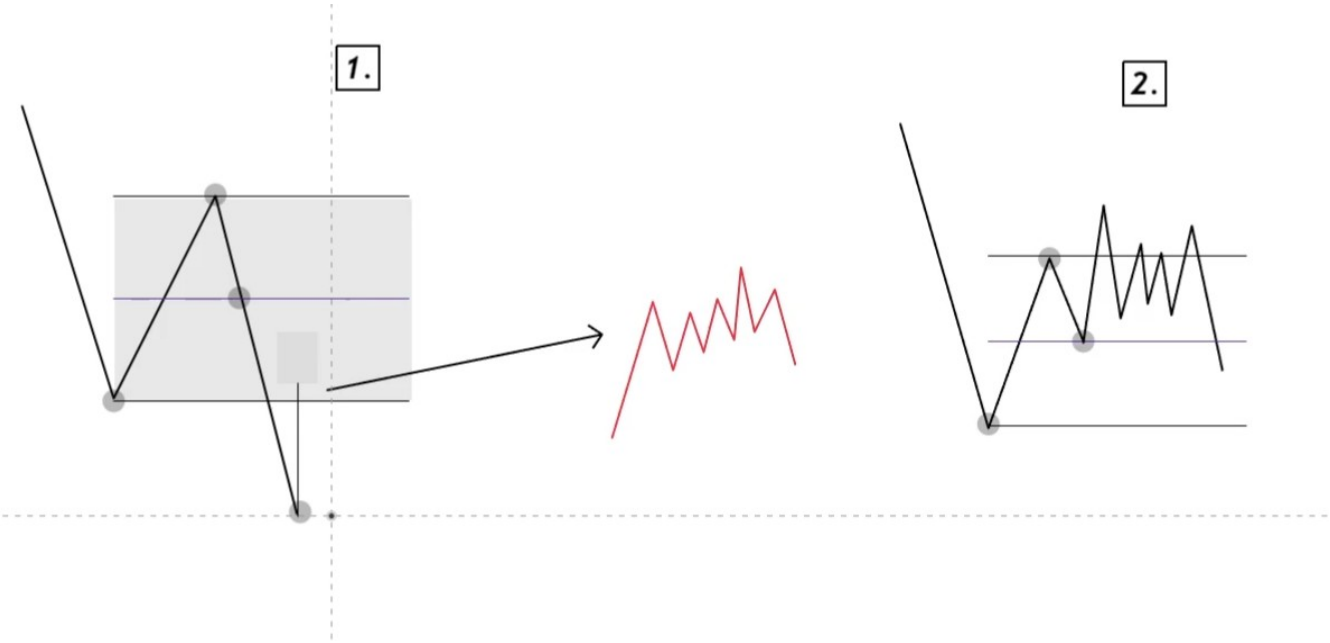


(47:24) as I'm saying it right now okay you can come back to this part after um having finished the TCT schematic section and then you'll understand but what you can say right here is that you had a blue TCT model 2 schematic where the purpose of that schematic was to tap the Range High so that it could go over into a model 2 TCT distribution schematic and that purpose of that model 2 distribution schematic was to come back down to fulfill the bigger accumulation a because the high time frame points are always the most important the same way
(48:03) your high time frame Mark Shure pool is more important than your low time frame Market strcture pool the same way your high time frame range is more important than your low time frame ranges so this one and this two on the 4 Hour that range low and the deviation that's the most important okay yes you may have a distribution here but you have a bigger accumulation going on so the same way that your high time frame Market structure is more important than your low time frame Market structure the same way your high time frame ranges are more
(48:34) important than your low time frame ranges but do you guys see with this picture you can screenshot it do you see what I mean with ranges within ranges within ranges because just on this picture you can see that we have a black range inside and in the Black Range we have a red range and in the red range we have a blue range but this entire range is inside of this massive massive massive range right basically when you're charting any asset that is not like an alltime high territorium you will always have ranges and ranges it

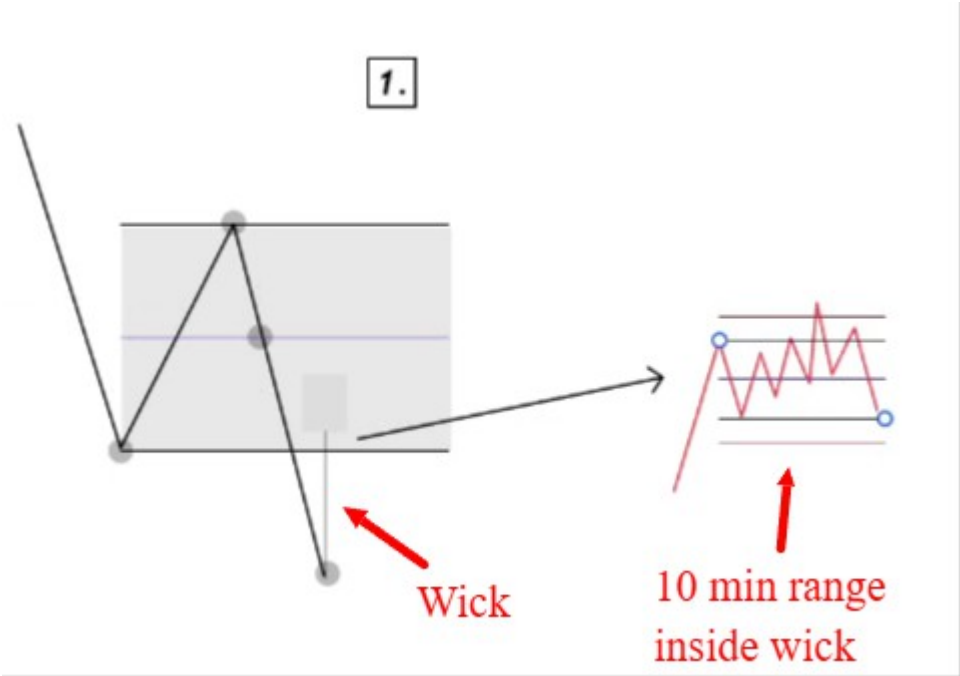
(49:11) just depends on the time frame that we're on but I like the scalp so I'll be on the five minute and then I'll be trading the those blue ranges and then trading the the the red ranges that go over in the black ranges that's what I do okay I'm not really a Swing Swing Trader so the last thing I want to talk um about with you guys is good and bad ranges okay good and bad ranges it's actually pretty funny because as I'm recording this like a week ago I had a discussion with um some people I'm teaching about good and bad ranges okay



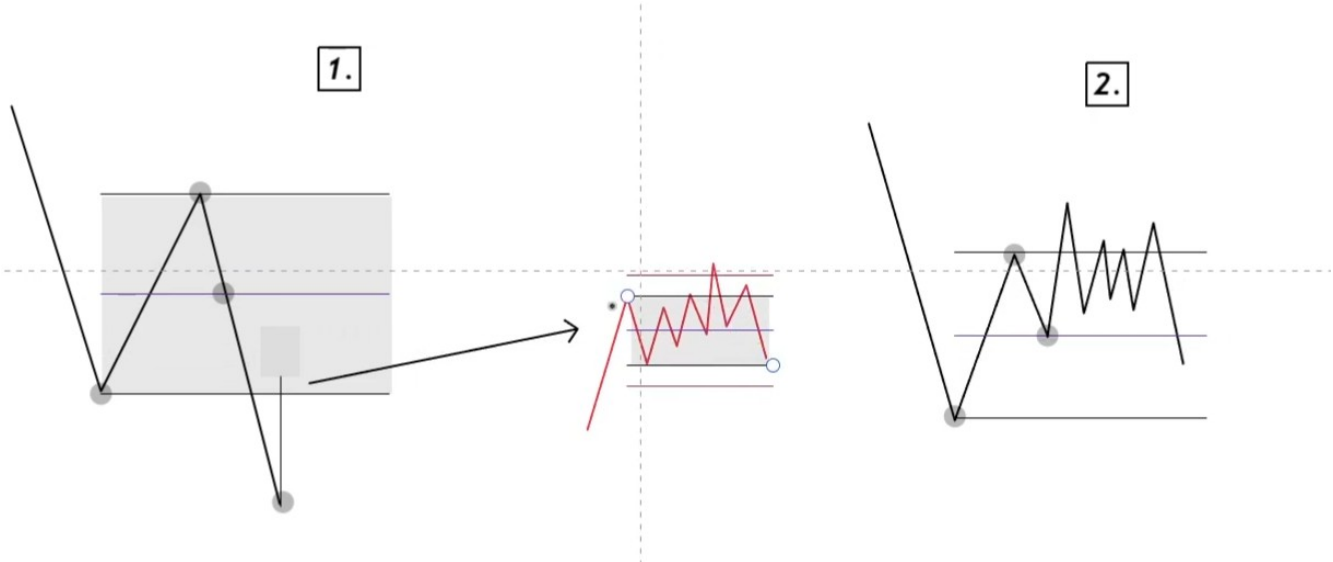
(49:50) good and bad ranges and what's the difference well I've given you guys rules okay I've given you guys rules regarding ranges meaning we have that low we have that high we have that move back down confirming the range but I want you guys to be rational I want you guys to be rational a range is when prices go sideways a range is when prices are going sideways yes you have your range low you have your Range High you have to move back down confirming the range but if price is trending down very aggressively just you know picture this
(50:36) being a very aggressive downtrend okay yes this may this may be a range but it's looks like a it's like very V shapery like very sharp moves down does this look like prices are going horizontally no right it looks like prices are trending down and we also know that an SFP can be temporary and that we can can come back down towards that SFP if we break structure instead of having the full rotation back up so I want you guys to be rational while drawing your ranges and just look at moments in time where prices are literally just going sideways
(51:13) you can just look at the chart and you immediately see oh we're going sideways here this must be some sort of range and then you try to draw structure that allows your range to be valid cuz that are more vshape looking are often times Market structure pools when the V gets very extended and very wide that's when you can expect more of a range it's literally just horizontal price action so what I have in front of me right here is scenario one and scenario two okay just different types of examples and scenario one is what that I



(51:52) was talking about with that friend I'm teaching and um just picture this being a very aggressive downtrend okay but we Wicked the low so technically speaking this is a range with a deviation one but this is the four to six hour time frame so it's a high time frame aggressive downtrend okay this wick on the lower time frame consists of a local uptrend on the 10 minute right here and the 10 minute looks something like this in Red so we have a very aggressive downtrend on the four to six hour we wick the low so technically speaking this is a range
(52:36) that you can look at okay doesn't look the best because it's a very V shaped very sharp moves but technically speaking it could be valid right it is valid technically speaking but I want you guys to be rational and then when we zoom in in this wick on the lower time frame we can see a local up trend on the 10- minute that looks like this and in a local uptrend we pull our range from top to bottom and we can see that was a wick it didn't exceed it and then we have a range like this oh and then we have a range that looks

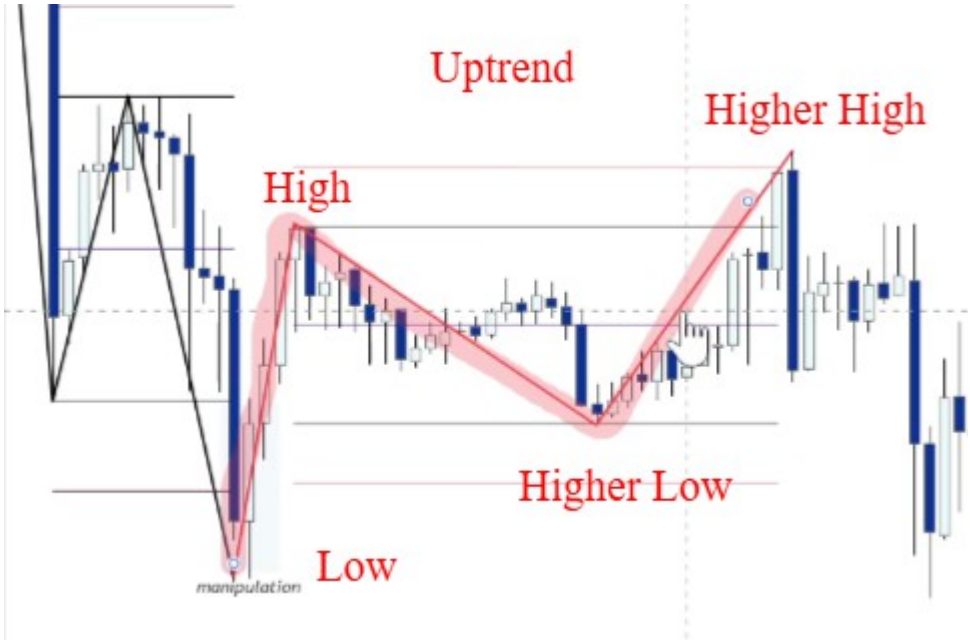


(53:22) like that I don't know why the CH color is not changing but maybe there's some sort of delay however where do you think I'm putting more importance on okay where do you think I'm what do you think I'm watching more closely this very ugly looking range that looks like a vshape with a wick or this 10-minute range that looks like an amazing 10minute range with amazing deviations for potential TCT Concepts obviously I'm paying more close attention towards the 10-minute range because that looks way better from a range perspective



(53:57) and I have the perfect example right above it that's why I had it ready guys so right here on the higher time frame let's use that replay mode okay right here on the higher time frame we were trending down so you can see the downtrend okay you can see the downtrend in our black market structure drawing okay you can see that aggressive downtrend now also using our dl2 you can see that it was a wick right it was a wick so technically speaking this black markers drawing is a valid range but in this move up from our range

(54:36) low deviation from the from the low up in this deviation on the 30 for example we have an uptrend right picture it in red high higher low higher high right here red highlighted



okay what looks cleaner this v-shaped move down or this sideways price action(see screenshot below):

right what looks cleaner technically speaking guys this is a valid range and my friend was watching this black range extending it to the right after the deviation and then having this as your range but then once you will see my TCT Concepts uh lecture you will have no

(55:32) trade in this black range because the starting points weren't the best this looked very like Mark structure wise I was watching my red range right here

I was watching my red range because compare it guys this actually looks like sideways price action and also coming back to that vshape do you see the difference into how this is very sharp pointing down low lower high lower low looking like V's a V and a upside down V

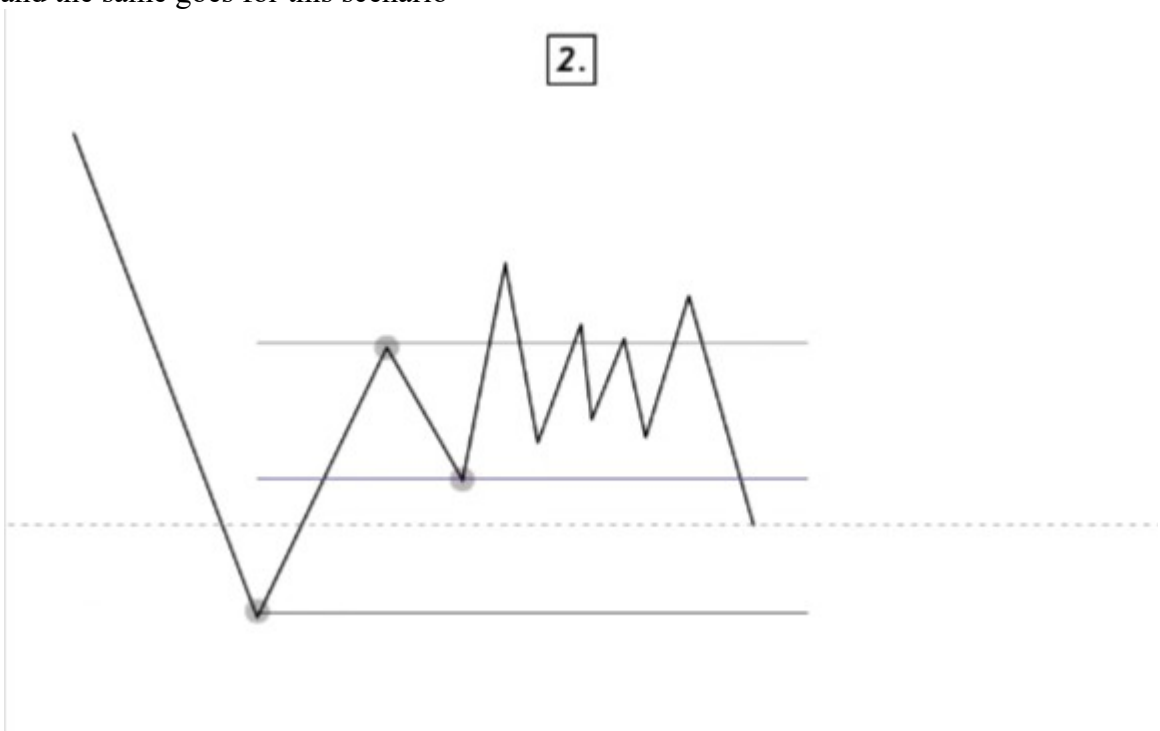
and a V compare that to this look how extended this is whenever you have
(56:09) to draw quote unquote Market structure and your V is this wide that's when you have a range okay

so I was watching the most rational range because both are technically valid the black is valid but the red is also valid but told you guys to put more importance on the high time frame pools right because High time frame pools are more important than low time frame pools but you have to combine it with rationality if your high time frame looks like this

you do not look at that from a Market structure or from a range perspective
(56:44) you just look at Red from a range perspective

because you if you had red on your chart you have this as your Range High this will be your deviation not exceeding that limit of the dl2 amazing retest has TCT model 2 distribution he had an amazing trade amazing trade okay

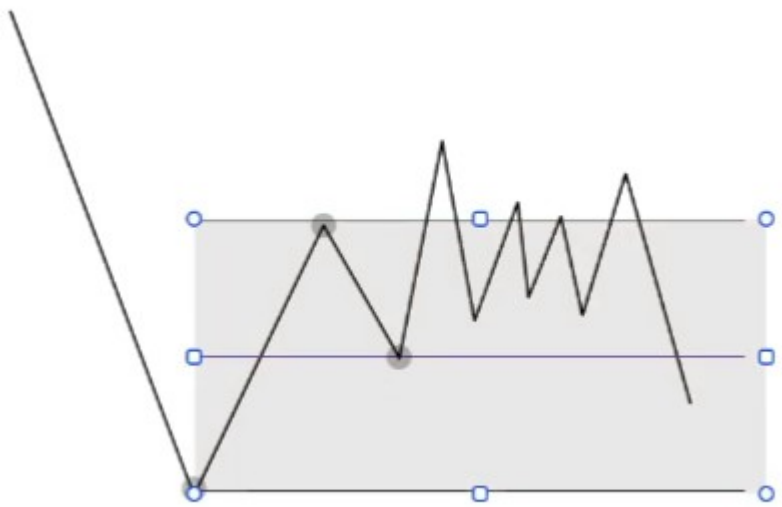
and the same goes for this scenario



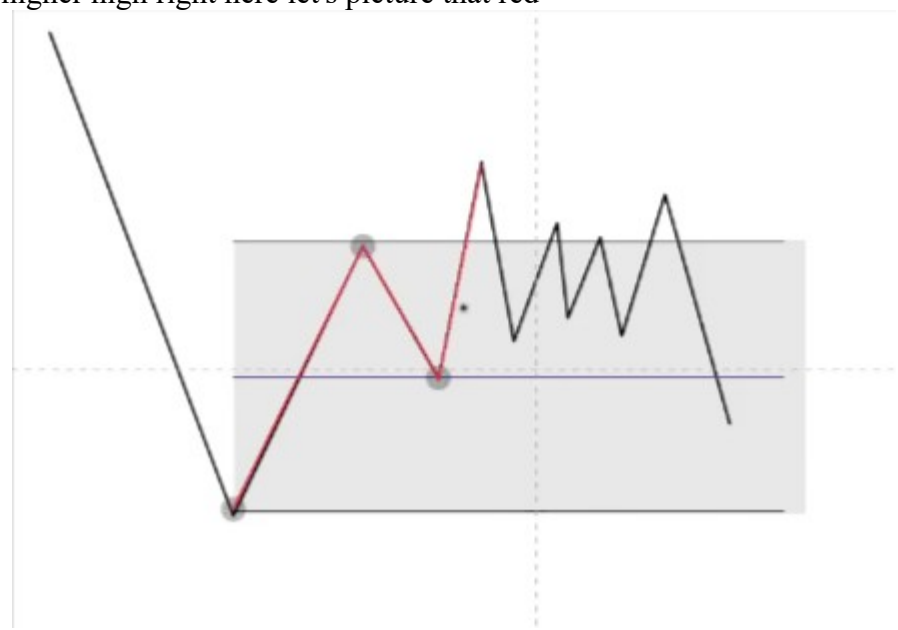
where let's say we're trending down okay let's say we're trending down we have a range low we have a Range High we come back to the equilibrium but we have a perfect touch like we have a perfect touch

of
(57:19) the equilibrium and we immediately go higher where do you think I'm paying more attention to this Black Range which technically speaking is a valid range

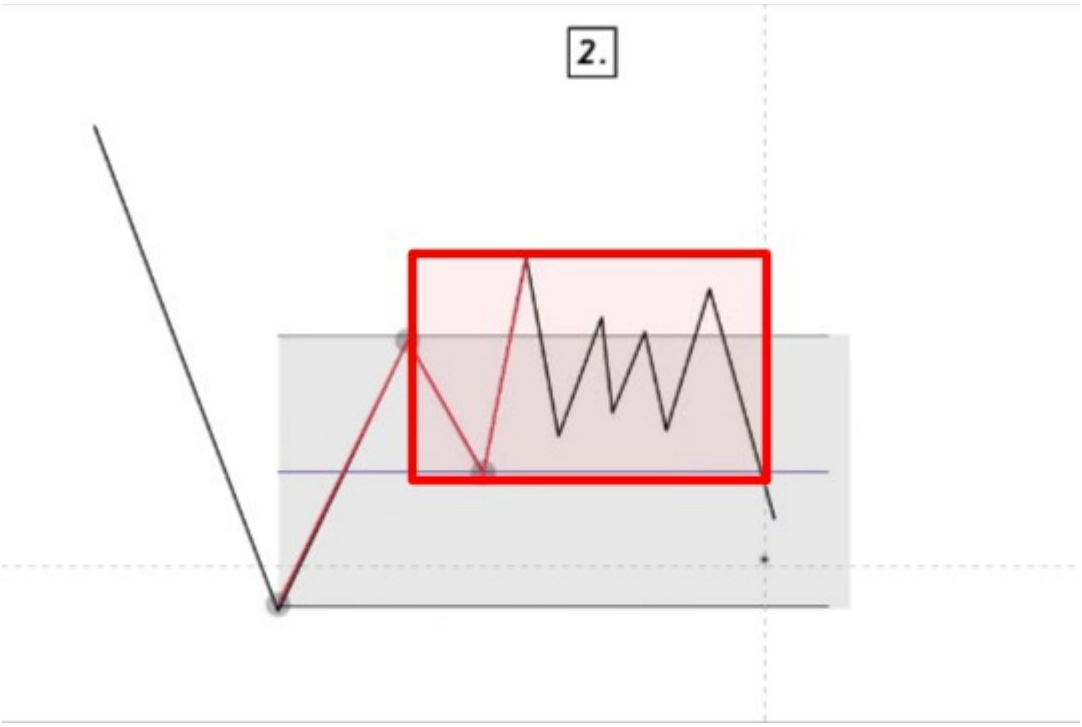
2.



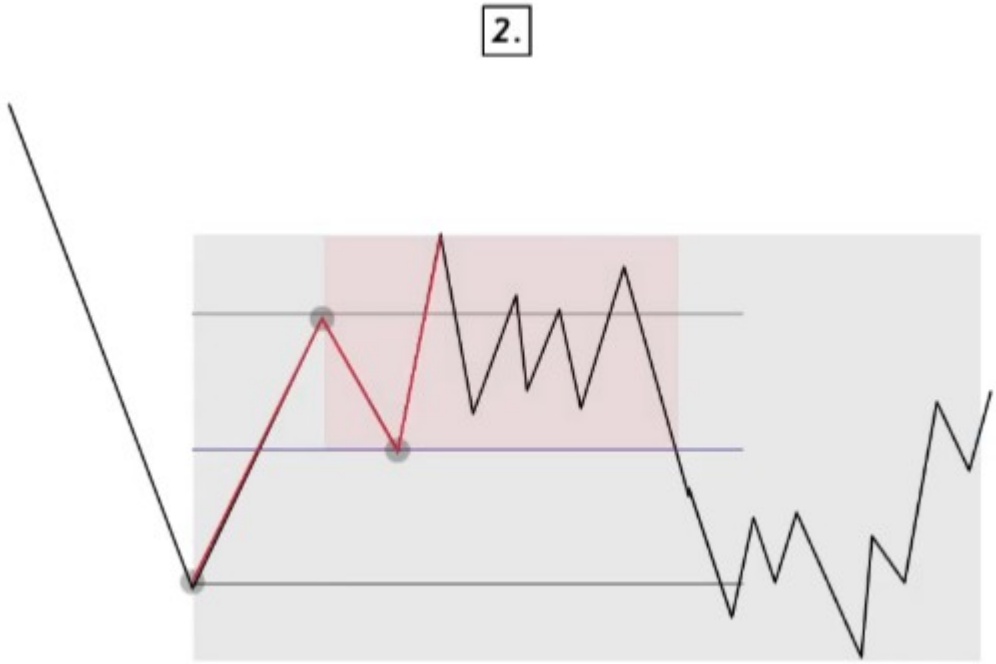
or am I paying more attention to the market structure from the low up that has a higher low and a higher high right here let's picture that red



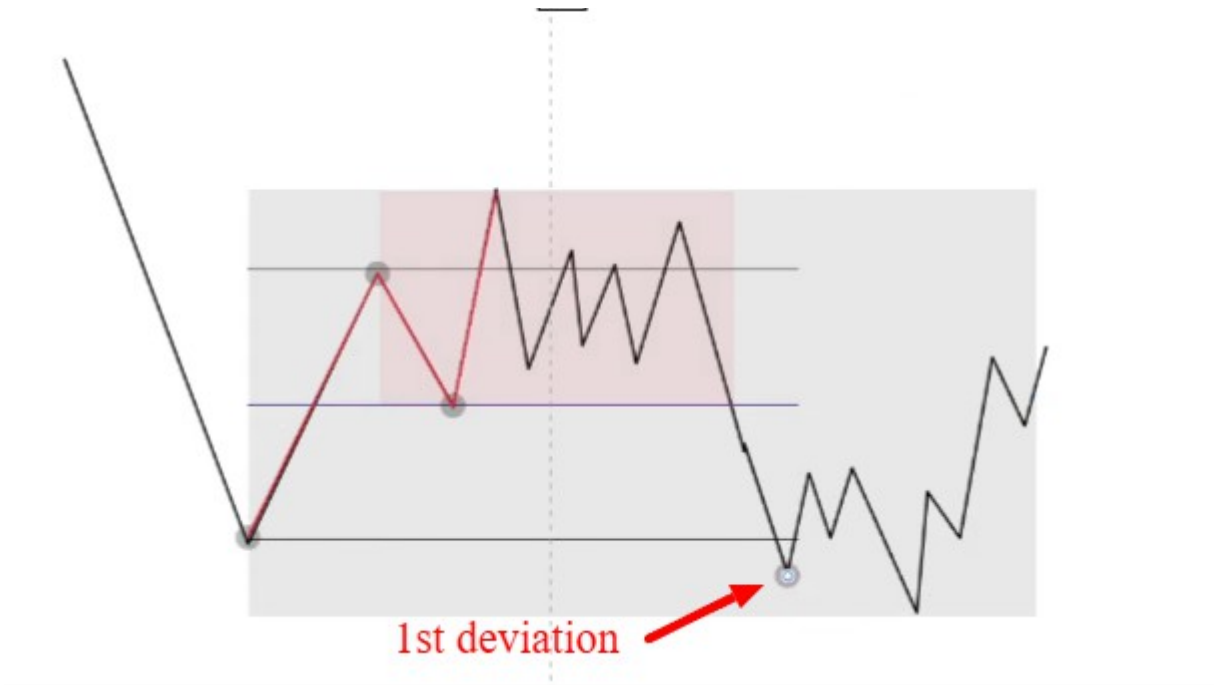
and then I'm paying more attention to this range right to this range obviously I'm paying more attention to the red range



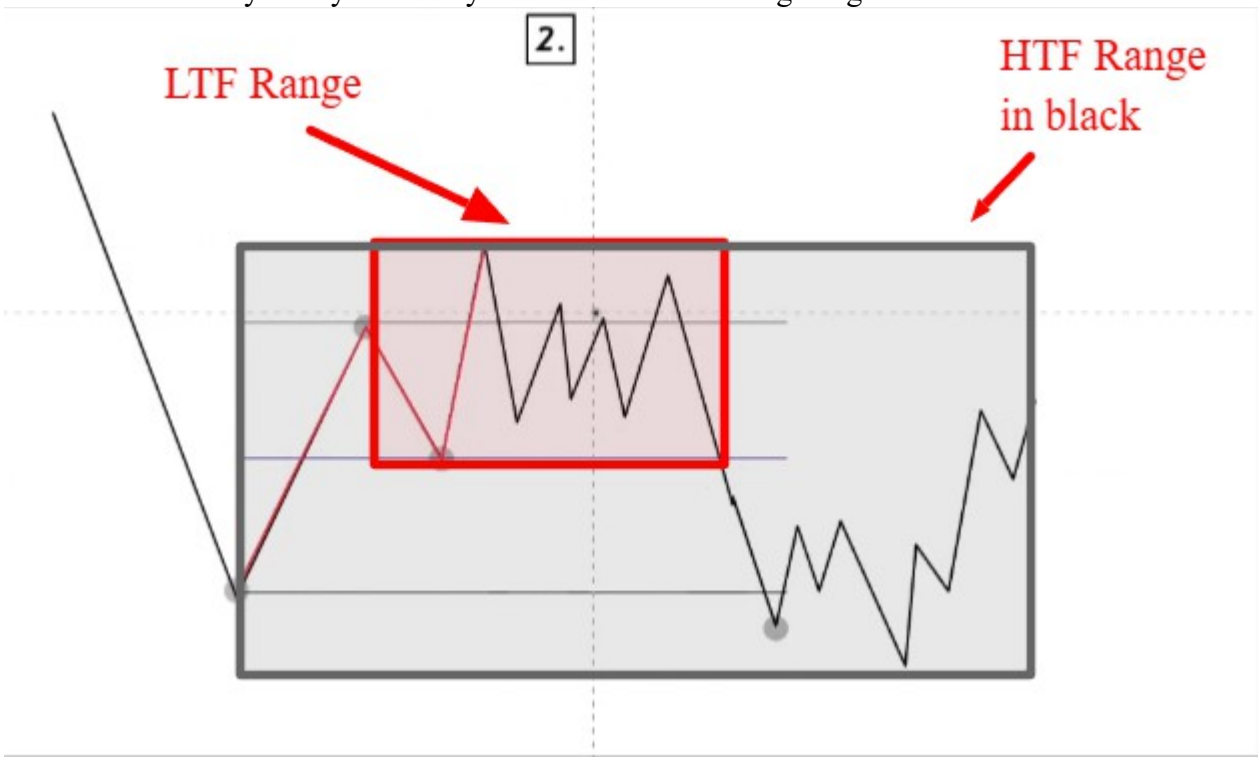
and then what could happen is that this red range could break down and from (58:02) there we could start deviating the range low right could start deviating the range low and now we actually have a bigger range like this



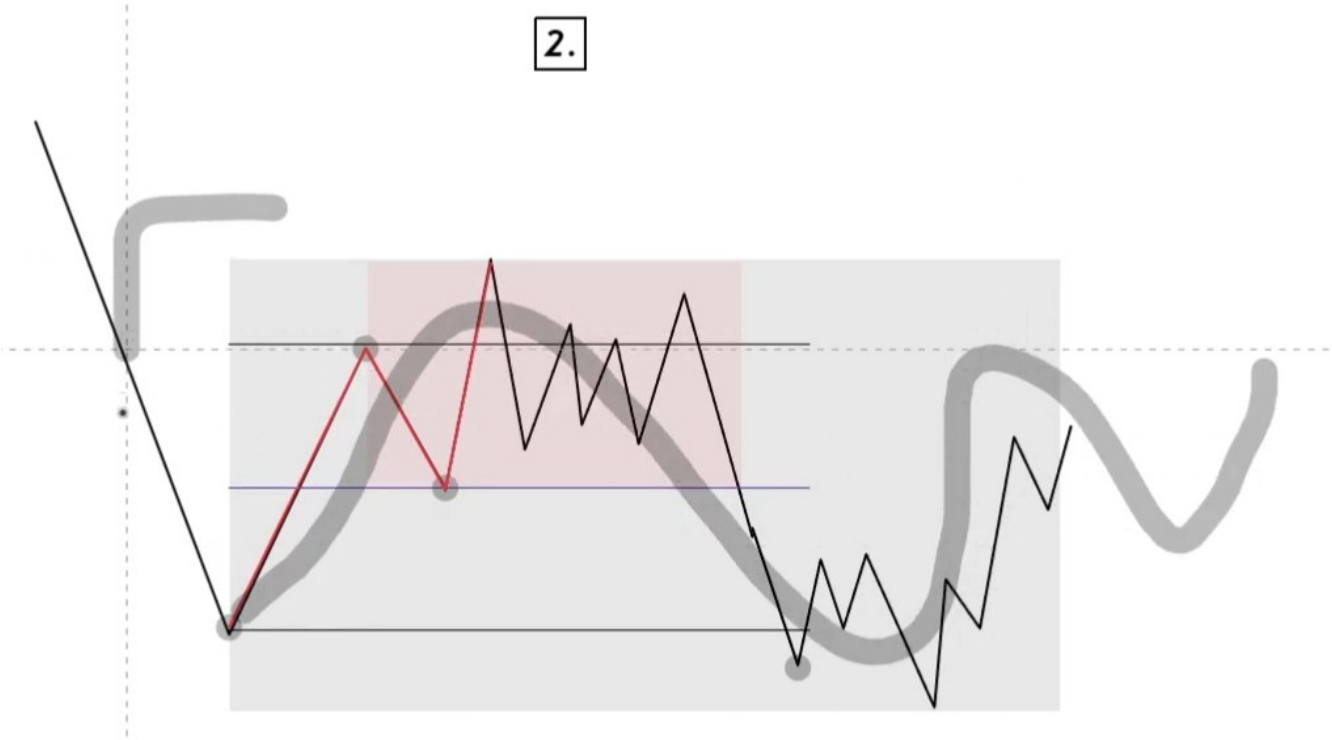
okay where this is that first deviation



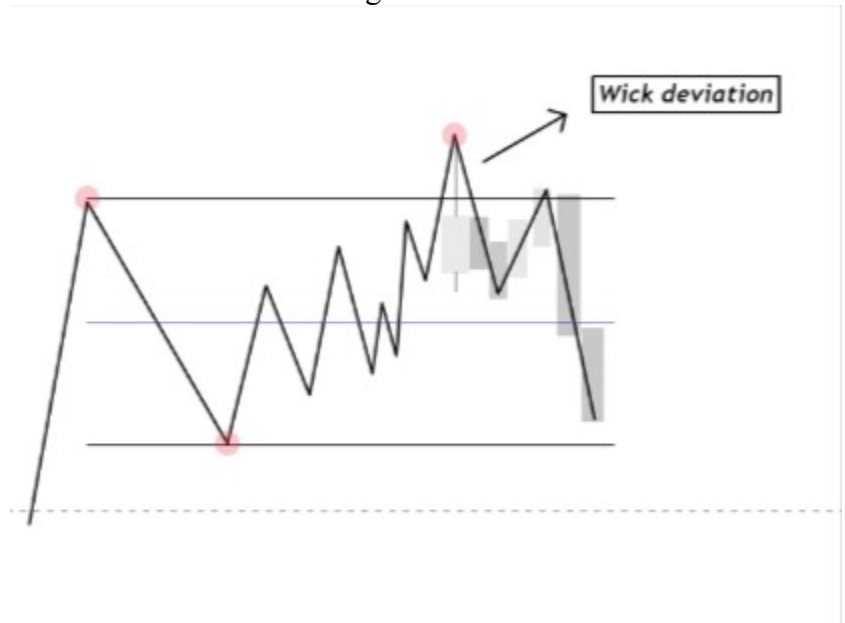
and that's also a way how you know your low time frame ranges right here



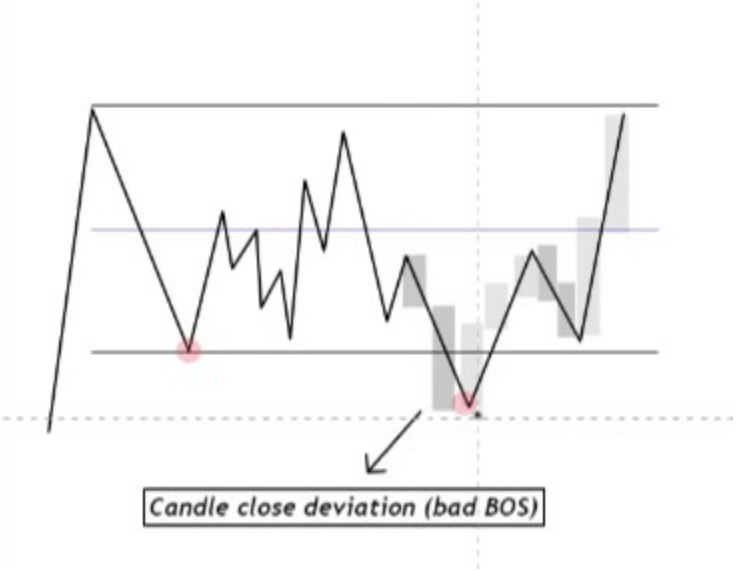
can go over into bigger ranges by breaking down like this this low time frame range breaks down sweeps that black low and now by having more price action and more time this actually also looks like a clean range and we can use this range right this range.



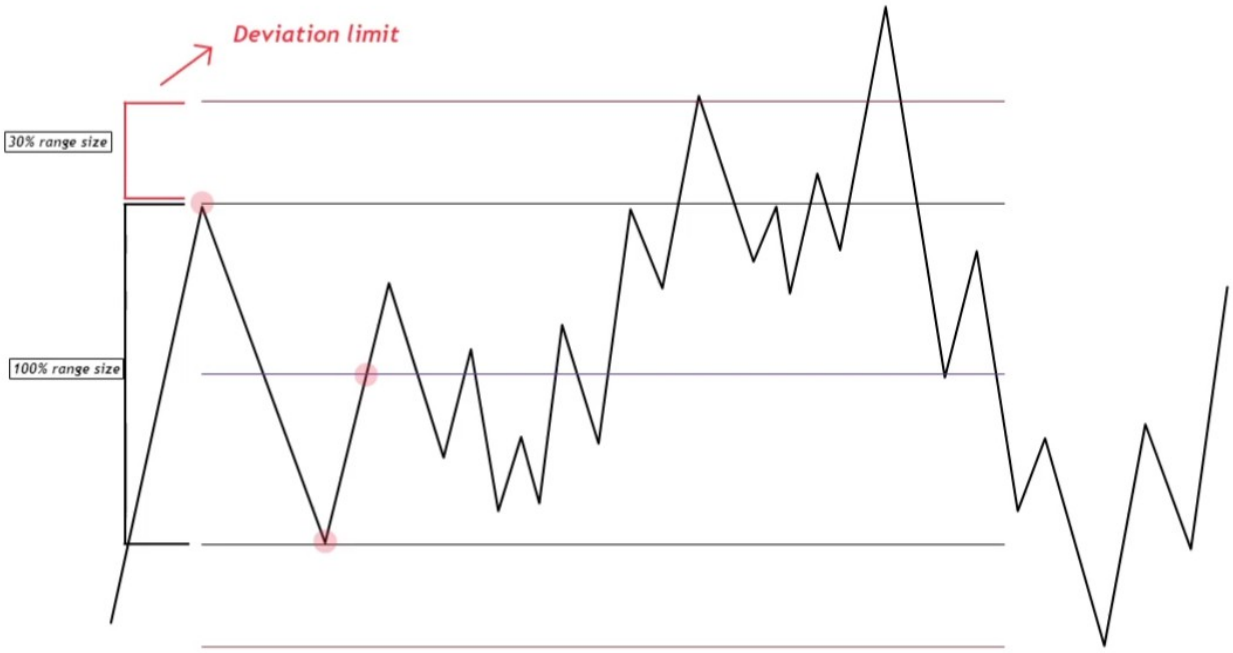
(58:51) that's it for ranges guys let's go back to the introduction okay to summarize it we have the theory behind the range that a range is simply when price is moving sideways and then um it's to restore the balance and the ratio between buyers and sellers then when we're trending up we pull our range from top to bottom when we're trending down we pull our range from bottom to top a range is valid on that certain time frame if the six candle rule applies on that time frame
(59:35) you always want to check the highest time frame that your range is valid on for the deviations we can have we can have wig deviations



or candle close deviations



and we can use the deviation threshold tool to determine if it's a range break or range deviation regarding the dl2 we have to extend it after a deviation and coming back inside to the deviation high and then use it again and when we have the dl2 overlapping with supply and demand we picture just the dl2 being just above that Supply or just below that demand and the lower the time



1:00:17) frame my ranges are the more strict I am with my deviations and we want to always watch those highest time frame that are is valid on in order to pose the question is this actually a deviation? or is it a range break? because it may look like a deviation or a break on the 30 but it could be a deviation on the 4H hour and then we have multiple different pools of Market structure giving us also multiple ranges to look at as we can see in solana where we have our red high time frame ranges inside our black high time frame range but also a 4H hour

(1:00:55) range that has a 1 hour range that has a 10-minute range all inside each other so we have ranges within ranges um and ranges regarding overlapping Market structure that causes ranges within ranges and when we have a range the most important Market structure to look at is just the most recent rotation so right here we're moving up right that's why I'm checking this range then we're moving up that's why I'm checking this range

and then from there from this top we moving down that's why I'm watching my structure
(1:01:25) from the low that's how we created that range

okay so just watch your most recent rotations within the range to determine which structure is the most important to look at and then we have a difference between valid ranges but not good-look ranges where you have to be rational okay when price prices are this V shape like that's not good when it's very extended like this very extended and wide V that's when you have a good range okay you just want horizontal price action and understanding this and understanding the deviations it will set up the foundation

(1:02:00) for the TCT schematics okay so that's it for lecture two of the TCT mentorship regarding ranges I'll see you guys in lecture three where we will be talking about supply and demand peace out